

# Unleashing our potential

GRUPO BIMBO

annual report **2003**

Grupo Bimbo is one of the largest baking companies in the world in terms of both sales and volume. The market leader in the Americas, Grupo Bimbo has 72 plants and 980 distribution centers strategically located in 14 countries throughout the Americas and Europe. Its product lines include: bread and sweet baked goods, buns, cookies, pastries, packaged goods, tortillas, caramels, salty snacks and candies.

Grupo Bimbo manufactures more than 4,500 products and manages around 100 well known brands. In addition, it has one of the most extensive distribution networks in the world including 26,500 routes and over 25,300 vehicles, making it one of the largest transportation fleets in the western hemisphere. Grupo Bimbo serves more than 690,000 sales points and has over 70,000 associates.

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In Grupo Bimbo we are unleashing our potential for sustainable growth and profitability. For over three years we have been undertaking a profound transformation process, implanting a more competitive business model, strengthening the value of our brands, consolidating our distribution system and perfecting our Company's management model, while maintaining market leadership.

This year, we concluded one of the most intense phases in the implementation of our new Information Technology platform, introduced over 100 products in the marketplace, specialized our sales force even more and continued taking advantage of our new focus in the use and management of information. As a result, today we are starting to see the fruits of our labor, by having made our decision-making process more efficient, which in turn has favored our Company's productivity and profitability.

## Bimbo, S.A. de C.V.



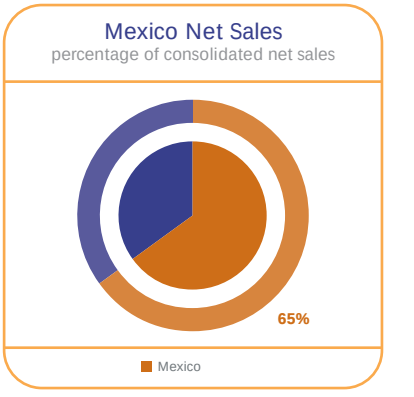

Headquarters: Mexico City, Mexico

Main products:

Packaged bread, buns, pastries, sweet rolls, cookies, tortillas and tostadas.

Main Brands:

Bimbo, Marinela, Milpa Real, Lara, Tia Rosa, Suandy, Wonder, Lonchibon, Del Hogar, La Mejor, Monarca, Tulipán.




## Barcel, S.A. de C.V.




Headquarters: Lerma, Mexico.

Main Products:

Sweet and Salted snacks, gummies, bubble gum, chocolates and confectionery products.

Main Brands:

Barcel, Ricolino, Coronado, CandyMax, Juicee Gumme, Parklane.

## Bimbo Bakeries USA, Inc.



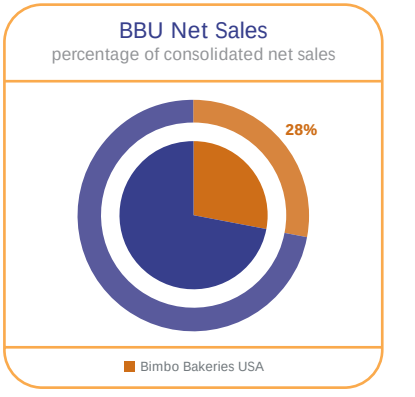

Headquarters: Ft. Worth, Texas

Main Products:

Packaged bread, buns, bagels, muffins, pastries, sweet rolls, cookies, tortillas and pizza crusts.

Main Brands:

Oroweat, Mrs Baird's, Bimbo, Entenmann's, Thomas', Tia Rosa, Marinela, Francisco, Old Country.




## Latin America Division (OLA)




Headquarters: Buenos Aires, Argentina.

Main Products:

Packaged bread, buns, pastries, sweet rolls, cookies, alfajores, tortillas and pizza crusts.

Main Brands:

Bimbo, Marinela, Plus Vita, Pullman, Ideal, Holsum, Trigoro, Pyc, Bontrigo, Cena, Fuchs.



## Our strengths

- Excellent brand positioning in every market.
- Covering over 690,000 sales points along 26,500 routes.
- Certified with ISO 9000 and HACCP.

## Divisions:

- Bimbo, S.A. de C.V.
- Barcel, S.A de C.V.
- Bimbo Bakeries USA, Inc. (BBU)
- Latin America Division (OLA)

## Stock market activity:

Grupo Bimbo stocks have been listed on the Mexican Stock Exchange (BMV) since 1980 under the ticker BIMBOA.

## Grupo Bimbo around the world



### Mexico

(Cities)

- Chihuahua
- Mexico City
- Gómez Palacio
- Guadalajara
- Hermosillo
- Irapuato
- Mazatlán
- Mérida
- Mexicali
- Monterrey
- Puebla
- San Luis Potosí
- Tijuana
- Toluca
- Veracruz
- Villahermosa

### United States

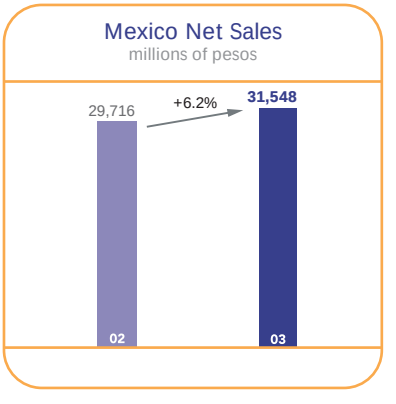
(Cities)

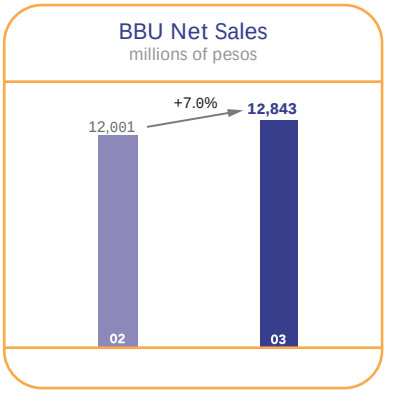
- Abilene
- Denver
- Escondido
- Fort Worth
- Houston
- Los Angeles
- Lubbock
- Portland
- Tampa
- Sacramento
- San Antonio
- San Francisco
- Seattle
- Waco

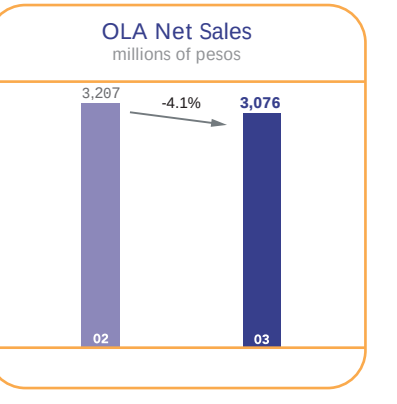
### Latin America

(Countries)

- Argentina
- Brazil
- Chile
- Colombia
- Costa Rica
- El Salvador
- Guatemala
- Honduras
- Nicaragua
- Peru
- Venezuela



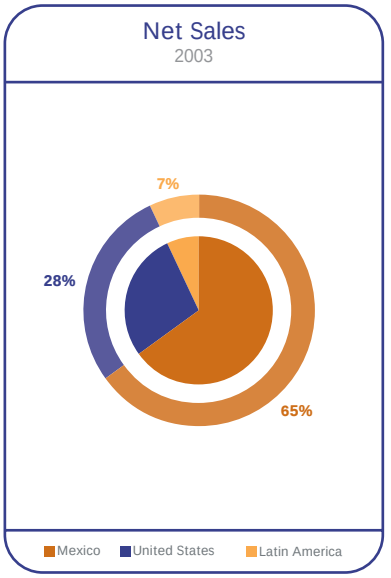



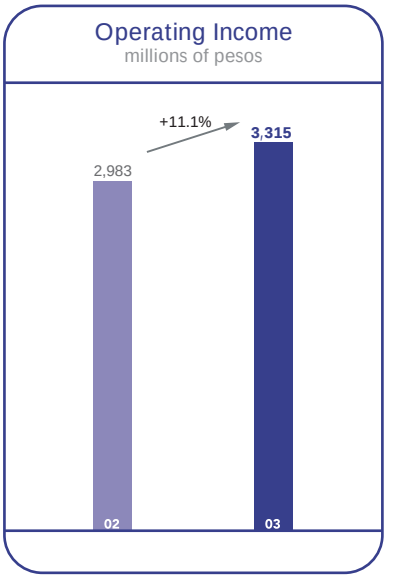



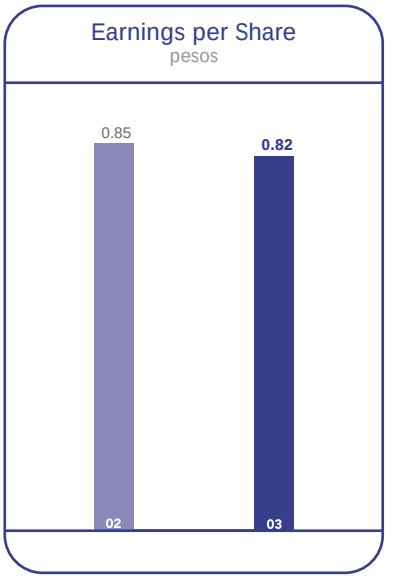
# Financial and Operating Highlights

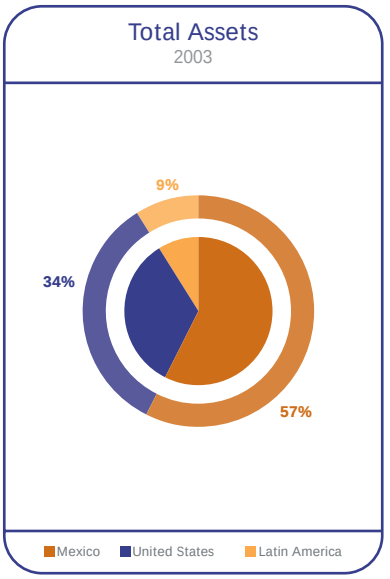
The figures appearing in this section are expressed in millions of constant Mexican pesos as of December 31, 2003, unless stated otherwise, and were prepared according to Generally Accepted Accounting Principles in Mexico; thus, all percentage changes are expressed in real terms. Inter-regional figures are excluded from the consolidated operations.

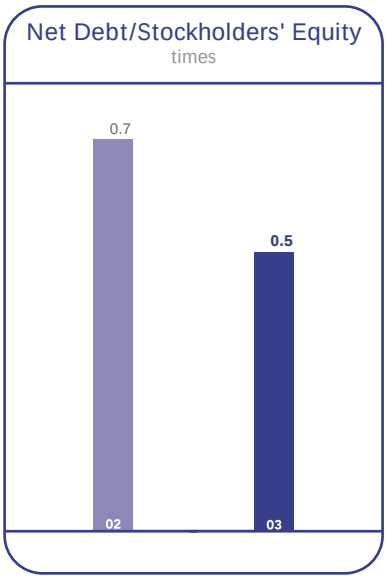
| | 2003 | 2002 | Change % |
|---|---|---|---|
| Net Sales | 46,663 | 44,350 | 5.2% |
| Mexico | 31,548 | 29,716 | 6.2% |
| BBU | 12,843 | 12,001 | 7.0% |
| OLA | 3,076 | 3,207 | -4.1% |
| | | | |
| Operating Income | 3,315 | 2,983 | 11.1% |
| Mexico | 3,864 | 3,323 | 16.3% |
| BBU | (426) | 34 | NA |
| OLA | (141) | (333) | (57.7%) |
| | | | |
| EBITDA | 4,804 | 4,426 | 8.5% |
| Mexico | 4,886 | 4,372 | 11.8% |
| BBU | (120) | 287 | NA |
| OLA | 20 | (192) | NA |
| | | | |
| Majority Net Income | 964 | 1,003 | (3.9%) |
| | | | |
| Total Assets | 30,515 | 34,203 | (10.8%) |
| Total Liabilities | 14,758 | 19,253 | (23.3%) |
| Stockholders' Equity | 15,757 | 14,950 | 5.4% |
| | | | |
| Net Debt / EBITDA | 1.5 | 2.3 | NA |
| Net Debt / Stockholders' Equity | 0.5 | 0.7 | NA |
| | | | |
| ROA | 3.2% | 2.9% | 0.2pp |
| ROE | 6.1% | 6.7% | (0.6)pp |
| ROIC | 10.1% | 8.7% | 1.4pp |
| | | | |
| Earnings per Share | 0.82 | 0.85 | (3.5%) |
| Weighted Average Shares Outstanding ('000s) | 1,175,000 | 1,175,821 | NA |
| Closing Share Price at Year-end | 21.09 | 15.19 | 38.8% |

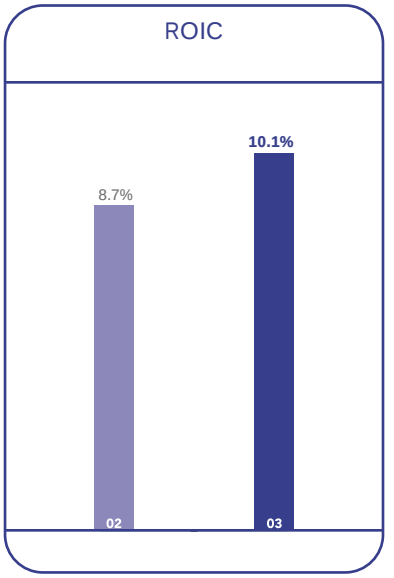

Net Sales
2003
7%
28%
65%
Mexico
United States
Latin America


Operating Income
millions of pesos
+11.1%
2,983
3,315
02
03


Earnings per Share
pesos
0.85
0.82
02
03


Total Assets
2003
9%
34%
57%
Mexico
United States
Latin America


Net Debt/Stockholders' Equity
times
0.7
0.5
02
03


ROIC
8.7%
10.1%
02
03

# Message from the **Chairman of the Board**

It gives me great pleasure to inform our shareholders that a year that begun with less than favorable forecasts and negative results, finally ended on a satisfactory note due to the substantial improvements that came about during the second semester.

The Company's consolidated sales increased 5.2% versus the previous year, to reach $46,663 million pesos.

Net majority income reached $964 million pesos and was affected by two extraordinary and inherently opposite events.

On one hand, we encountered a significant level of depreciation in our U.S. operations' intangible assets, which we considered adequate to report in our consolidated results. It is worth mentioning that even if this $1,864 million pesos extraordinary item charge, consequence of U.S. accounting rules, did affect our final results, it also allowed for a better valuation of these companies' assets without affecting their cash flows. In addition, this will provide a more solid base for our future results.

On the other hand, this exceptional charge coincides with a fiscal benefit in Mexico derived from a favorable judicial decision that significantly helped compensate for the adjustment.

Sales from the Mexican operations increased 6.2% and by 7.0% in the U.S., while the Latin American operations declined by 4.1%, primarily due to the current situation in Venezuela. Nevertheless, results from Latin America, which had been very negative in the past, improved significantly.

I am pleased to report that results from the Barcel Division and its affiliates experienced solid sales growth versus the previous year. There were also important, although modest, increases in Barcel's profits.

For Grupo Bimbo, 2003 was a complicated year in which intense efforts were done to conclude the implementation of the changes in our IT systems that we had been working on. By year's end, there were substantial advances in the installation of the ERP system, and approximately 20,050 handhelds were put in operation, which, along with those that were already operating, add up to 23,400 units. This transition, given the scope and speed with which it was carried out, had no previous precedents in the industry.

Although these transformations have not yet been implemented everywhere in the Company, we can safely talk of an 85% advancement rate. In the upcoming phase, we will proceed with the part of BBU that is still pending, as well as for all of Central America, Venezuela and Peru.

This matter is of great importance, given the substantial costs that we incurred in as a result of this transcendental change and that, therefore, will no longer gravitate strongly on future results.

During the period, some important changes were implemented in a number of the Company's plants, including:

In Mexico, despite our high expectations for the Abastex plant, it could not meet the desired objectives and, as a result, had to be closed down.

In the United States, BBU was taking steps to shut down one of the plants in Dallas that was part of the Weston acquisition, because it did not meet the required efficiency and quality conditions. This closure, which took place at the beginning of 2004, will result in important benefits for BBU's operation.

In Central America, we are also proceeding with closing *La Mejor,* a small baking plant, transferring its production to our plant in Guatemala. Nevertheless, we will keep the brand, which has enabled us to increase our market share in this region.

In terms of the Ricolino operations in the Czech Republic, based on the positive results we have seen in the Ostrava operations, we will continue to operate in this region.

During the year, we also sold off our stake in Novacel, dedicated to the production of flexible packaging, to the Pechiney Plastic Packaging Group. The Company was joint venture we had with Grupo Arteva for many years.

In terms of important investments, we expanded and modernized our plant in Guatemala. In addition, we acquired Fuchs, a baking Company in Santiago, Chile. In Argentina, we are participating in an investment fund that acquired the assets of Fargo, the country's most important baking company which is in a state of insolvency. In Lerma, Mexico, we initiated the installation of an important plant that will produce bakery specialties in frozen dough. This plant, to be called Fripan, began operations in March of 2004.

Finally, I would like to say with satisfaction that we have begun to see the fruits of our efforts, in terms of the modernization of our IT systems and of the administrative reorganization, events that have taken place during the last several years and which have represented important investments.

Even if the operations results have not yet yielded all of the expected benefits, we have generated a more than satisfactory cash flow, which enabled us to prepay more than US$263 million in debt.

I am pleased to confirm that, in spite of several negative situations in some of the regions where we operate (labor strikes in the supermarket sector of Southern California; crises in some of Latin America's regions), we are optimistic about the future and will continue working to consolidate our presence throughout the continent.

As in previous years, our labor unions' contracts were reviewed with harmony and positive results for both the personnel and the companies. Therefore, I would like to take the opportunity to thank all of our associates for their trust and dedication, as well as our labor union representatives for their work on behalf of their members and for their understanding of the companies' competitive needs.

Grupo Bimbo, as it has been doing ever since its founding, continued contributing a percentage of its profits to social endeavors, putting special emphasis on those that focus on rural development and education.

In addition, we supported the creation of "Reforestamos Mexico," a new institution that, as its name indicates, works to protect the forests and to encourage the planting of trees throughout Mexico.

Lastly, I would like to thank our board members and shareholders for their interest in our Company and their trust.



Roberto Servitje
*Chairman of the Board*

# Message from the Chief Executive Officer

In 2003, and especially during the second half of the year, we experienced a positive change in the Company's general performance, particularly in terms of improvements in our productivity and profitability.

During this period, we completed the most intensive stage of Grupo Bimbo's reorganization process that was initiated in 2001. The plan's objective is to transform and update our business model in the face of a more competitive environment as well as of continuously evolving markets, in order to increase the Company's competitiveness, profitability and growth in a sustainable way

This year, there were four strategic pillars:

- Develop a more Competitive Business Model
- Increase Brand Equity
- Maintain Channel Leadership
- Improve the Management Model

Based on these strategic areas, some of the most important actions that we took, in terms of the business model, were the incorporation of new systems and technologies as well as the implementation of best operative practices.

In terms of the managerial model, our efforts focused in the completion of both the segmentation of the distribution channels as well as in route optimization projects. In addition, we continued implementing more efficient technologies, which enabled us to provide a specialized level of attention for each type of client.

The strategy of increasing brand equity was due to a broad effort that included the launching over 100 new products in all of the regions where the Company operates. These new product introductions came about as a result of constantly studying and monitoring new trends in our consumers' tastes and preferences.

In Mexico, a significant recovery of sales volume was observed beginning the second part of the year. It is worth mentioning that, for the second year in a row, the firm Interbrand named Bimbo the most



**Roberto Servitje** *Chairman of the Board*, **Daniel Servitje** *Chief Executive Officer*

valuable brand in Mexico as well as one of the five most recognized brands in Latin America.

In the United States, the lack of market growth and the phenomena of low carbohydrate products had a negative impact on the industry as a whole. Nevertheless, our market share in the bread category remained strong and growing. Additionally, BBU was distinguished by Wal-Mart Stores, Inc. as "2003 Supplier of the Year" by their commercial bakery division, a clear sign for us that the tremendous efforts made by our personnel in the U.S. are beginning to bear fruit.

Overall, the Latin American market was characterized by growing economic and political stability. In general terms, this helped us improve our performance and turn around the trend we had experienced on previous years. The countries that posted the greatest sales increase were: Argentina, Brazil and Chile.

For over 58 years, Grupo Bimbo has regulated its activities based on solid values and principles, which are the foundations of the Company's growth as a socially responsible corporation. To participate in the integral development of our personnel and in the communities that we serve, is an essential part of our philosophy. This year we continued supporting various causes, both of our own initiative and those of third parties, that are linked to the growth of the human being and society, such as: education, caring for the environment, and providing aid to the less fortunate.

In 2003, we began to reap the benefits of the investments and efforts that we have undertaken at Grupo Bimbo. Today, we have achieved a business model that is more competitive; we have improved our management model and increased our brands' equity while at the same time maintaining our leadership role in the marketplace. This profound transformation has led to continuous and sustained improvements in our productivity, which can be seen in our operative and financial profitability. It has also enabled us to increase the cash flow generated by our operations and to maintain a solid financial structure.

In Grupo Bimbo, we are visualizing with realism the challenges that lie ahead and with optimism the opportunity to create more value for our clients, consumers, associates and shareholders. It is because of all of these actions we have undertaken over the past several years that we are unleashing our potential.



Daniel Servitje
*Chief Executive Officer*

# An Efficient and Competitive Business Model

At Grupo Bimbo, we are conscious of the importance and need to maintain an efficient and competitive business model aimed at achieving sustainable profitability. Thanks to the strategies implemented during 2003, we successfully increased our profits by implementing best operative practices throughout all of our processes. In turn, this enabled us to take advantage of our large infrastructure as well as to achieve important economies of scale and different synergies, all of which translated into productivity increases and into a reduction in operating expenditures.

In financial terms, as a result of an increase in our margins and a more efficient management of our cash flow, we were able to make three important debt pre-payments amounting to $263 million dollars. Additionally, two extraordinary and inherently opposite events had a direct influence on the Company's results. The first was a tax refund in Mexico in the amount of approximately $1,606 million pesos. The second was the acknowledgement of the impairment of long-term assets, primarily in the United States, for $1,864 million pesos.

**5.2%**
Sales growth in 2003

Our focus has always been to be a highly competitive company. This commits us to continuously seek improvements in both our commercial and operative processes. For this reason, we consider vital to have the state-of-the-art technology required to make each and every one of our processes more efficient and thus strengthen and optimize every aspect of our business, from the production and distribution processes to the way in which our products are marketed.

During the first half of the year, the Company completed the most intensive phase, in terms of resource allocation, of two important corporate projects: Bimbo XXI and the different distribution initiatives.





The Bimbo XXI project is a comprehensive plan characterized by the capacity to consider information as a corporate asset, the incorporation of best practices into the business model and the establishment of a unified language among the Company's different divisions. This has been made possible through the implementation of an Enterprise Resource Planning (ERP) system, a mobile computing system (handheld units), as well as a Customer Relationship Management (CRM) system.

Among the distribution initiatives, the channel segmentation project, the route conversions to independent operators in several of the regions where we operate and the consolidation of our distribution centers were the most important. As we expected, by concluding the majority of these expenditure-intensive projects we began to see a positive impact in our results during the second semester of 2003.

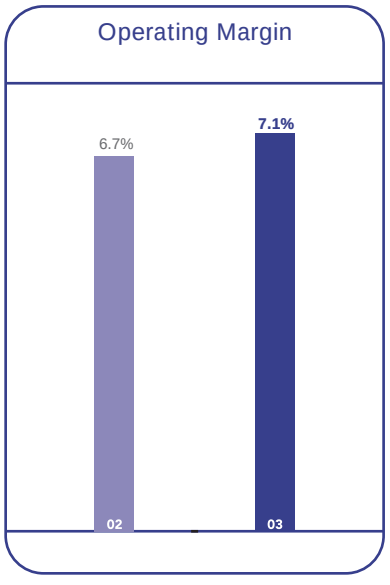
In addition, we divested assets that were not generating the expected level of profitability and we increased our product's shelf life, actions which, together, have had a favorable impact in our profitability.

Some of the actions derived from focusing on our business model included: the Company's sale of the 41.8% share it had in Novacel, a packaging business, to Pechiney Plastic Packaging, producer of plastic packages, and also the purchase of *Alimentos Fuchs, Ltda.*, a Chilean baking company dedicated to producing European-style variety breads.

In conclusion, this year, and particularly during the second half, we were able to achieve sales growth, improve our margins and increase the amount of cash flow generated by the Company.

As a result, we are beginning to reap the benefits of focusing on the continuous improvements of our operations.





# Increasing Brand Equity

We are focused on increasing the Company's most important commercial asset: our brands. The adoption of an innovation-oriented strategy enables us to quickly respond in a flexible and profitable way to the requirements of our different markets. We have also introduced a large variety of new products into the marketplace in order to adapt to the changing tastes and needs of our clients and consumers. Likewise, Grupo Bimbo has maintained its level of investment in terms of promotion and advertising as well as in revamping the image and packaging of some of our brands.

We know that good ideas start with the consumer. For that reason, it is why we seek to achieve a balance between creativity and market needs. In order to generate fresh new ideas that can be translated into new products, we participate in interdisciplinary groups, through an innovative model that we call "*Foco Bimbo*," an internal network that serves as an open forum geared towards generating new concepts.

In order to develop products that have the potential to become consumer favorites, we have adopted the use of performance indicators. These allow us to evaluate each product's behavior quickly and efficiently, thus ensuring each one's success in the market. To date, our portfolio exceeds 4,500 products. This year alone, we introduced nearly 100 into the different markets where we operate.

Staying abreast of new global trends has also been a priority, particularly those having to do with health and nutrition. We are constantly updating our products to meet client and consumer demands that seek more nutritional value. The preference for low carbohydrate and lower calorie products has resulted in a high level of acceptance of our new line of Carb Counting breads from Oroweat, in the U.S. market. The same is true for Bimbo's Multigrain bread and Barcel's Paprizas light potato chips in Mexico as well as the Light bread line in Brazil.

Grupo Bimbo has always promoted a healthy and balanced lifestyle. In order to reinforce the link between our products and these concepts, we continue to promote, through various methods, the diffusion of habits that are based on good eating and physical activity. For example, we organize the Futbolito Bimbo, a soc-



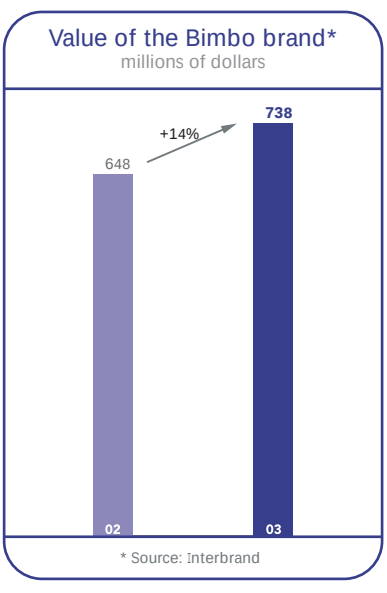



cer tournament for school-aged children in Mexico and Central America. We also sponsor a variety of professional soccer, baseball and basketball teams in both Mexico and the United States, as well as the Mexican Olympic Committee. In addition, we do nutritional education campaigns through our institutional bulletin, *Nutrinotas*, through the participation in various forums and conferences, the media and with the more than three thousand people that visit our plants daily throughout the hemisphere.

Moreover, the Osito Bimbo, a white teddy bear trademark character, continues to have a great impact in the market. A distinctive seal on all of our Bimbo products, people feel that they can identify with the kindness and charm conveyed by this character.

The strength of our top brand is such, that for the second year in a row, Interbrand, an international firm specializing in the creation and valuation of brands, named Bimbo the most valuable brand in Mexico and was also identified as one of the top five most important brands in Latin America. These awards are a source of great pride and satisfaction in that they show us that our efforts are yielding positive results.







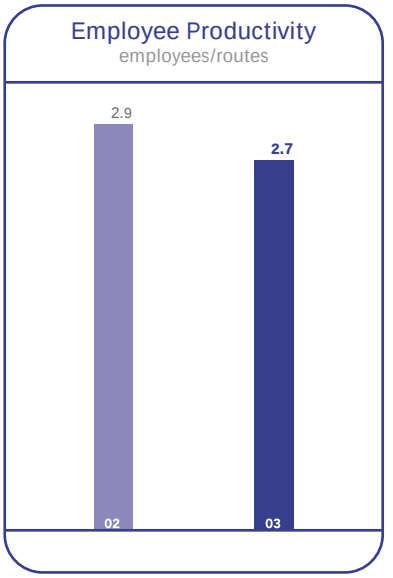

# Strengthening our Distribution Network

Grupo Bimbo has a large distribution network that, to date, includes more than 25,300 vehicles. This network has enabled us to maintain our leadership position in Mexico, the United States and the rest of Latin America.

Due to our new, more efficient technology platform, the transformation process and the restructuring of our distribution channels we are maximizing the network's capacity, enabling us to better serve our clients.

During 2003, we implemented a strategy to optimize the potential of channel segmentation in order to make it even more efficient. The channel segmentation project has led us to establish various initiatives, such as making evening deliveries to supermarkets, which has enabled us to provide specialized and immediate service based on each client's needs. In turn, this has allowed us to take even more advantage of our vehicles by keeping them in continuous use during day and night. In addition, we have adapted the product portfolio as well as their presentations based on the different distribution channels, such as price clubs, convenience stores, supermarkets and mom-and-pop stores.






In order to reduce costs and improve our service, many of our distribution networks outside of Mexico are outsourced. In the United States, the transition of routes to exclusive independent distributors, the largest and most important conversion of its type in this country's history, was successfully established. This is due, in large part, to the fact that these operators have a natural interest in their own performance.

The independent operator model is also used in countries such as Argentina, Chile and Venezuela. It has enabled us to provide a better level of service that is more economical and profitable. In the near future, we hope to see positive results in both our sales as well as our profitability.

Additionally, we have explored the use of alternative distribution methods in order to make our operations more efficient and profitable. For example, in order to lower costs in Colombia, we implemented the use of more economic vehicles for the delivery of products to areas outside of the main cities.




By optimizing our distribution system, we have successfully managed to increase our efficiency in terms of its productivity and sales.



# Optimizing our Decision-Making Processes

The year 2003 was key in terms of the ongoing transformation process at Grupo Bimbo. In addition to making the distribution systems more efficient, Grupo Bimbo has worked hard to perfect its decision-making processes. To accomplish this, it was necessary to change the focus in the way that information was used and administered in order to drive sales growth, lower costs, fine-tune marketing strategies and optimize the Company's overall efficiency.

In both BBU and OLA, we created advisory boards whose goal is to unite their expertise of its members with ours. Board members are either businessmen or investors with broad experience as well as knowledge of business management in the countries where we operate, which serve as an additional source of support for both divisions.

In terms of the use and administration of Information Technology, we successfully completed the implementation of the ERP system in 67 plants throughout Mexico, Argentina, Brazil, Chile and Colombia, as well as part of it in the U.S. We also began to install it in Peru and Venezuela and initiated the last phase for the U.S. operations. We expect to finish with all in 2004.





During this period, we were also able to distribute more than 22,000 handheld units to our salesforce and trained over 20,000 associates on their use.

In addition, we now have the ability to use the "Decision Support System" (DSS) technology in order to make more accurate, flexible and timely decisions based on more detailed information. The system is now operational, allowing us to capitalize on the initial benefits of having more and better quality strategic, administrative and operative information.

The quality of the basic information with which we can operate today has enabled us to work more efficiently, expand the distribution network and improve our labor productivity. We have also seen improvements in our asset productivity as well as in our competitive position.

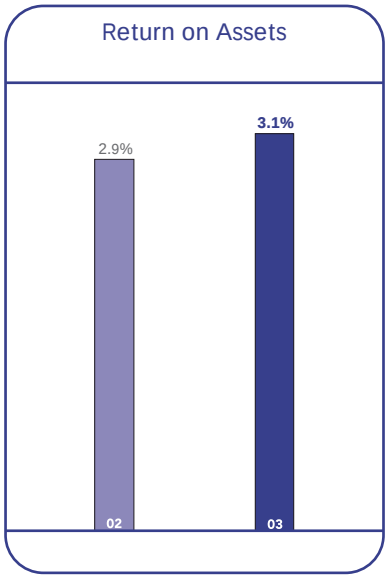
With the same intention, we are now focusing on the implementation of the "Customer Relationship Management" (CRM) system. The CRM will provide us with more precise information about our clients and will contribute to making our efficiency and service levels world class.

The next step in this complex transformation process is to fully optimize the overall system capacity by integrating the ERP, DSS, CRM systems and the handheld units. Additionally, we are developing an intensive training plan for all of our associates. Together, this will render detailed, real-time information regarding our products' in-store performance, which will in turn enable us to provide better service, reduce the number of returns, guarantee the best possible product mix and identify new market trends faster.

In addition to having a new technology platform, Grupo Bimbo is also transforming its managerial talent system to match its new needs. This, due to the fact that we are well aware that part of the Company's performance and development is closely related to the potential and talent of the people who work in it.

To be able to clearly identify the human potential that we posess, allows us to ensure that its development is in line with the Company's objectives. This new focus will allow us to move on to a different dimension that will elevate our potential and productivity by helping us to oversee and promote our associates' talent development process in an integral way.







# Summary of Activities

The Company's improved performance has been led, in large part, by the operations in Mexico. The bakery and salty snack segments continue to drive sales performance while, compared to the previous year, the confectionary segment has experienced respectable growth in terms of volume.

During 2003, all of our operations were characterized by: successful new product launches; a greater ability to respond faster to market trends; an increase in the shelf life of some of our key lines and the segmentation of the distribution channels.

Grupo Bimbo was one of the first companies to comply with the new bioterrorism regulations in the United States. Today, our exporting plants are registered with the Food and Drug Administration (FDA) and comply with the pre-shipment notification process, ensuring that our products continue flowing to the various markets within this country.

**Bimbo, S.A. de C.V.**

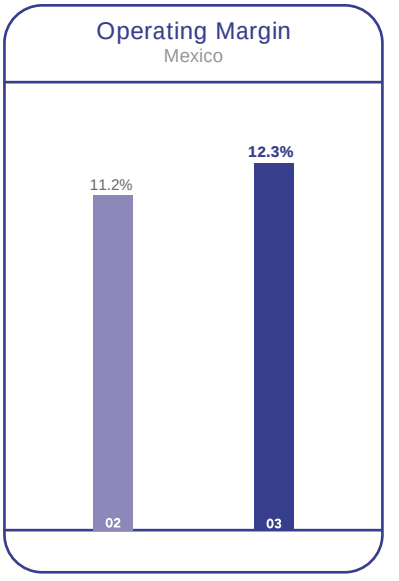
This year, Bimbo's Mexican operations experienced increasing sales and productivity. In accordance with corporate policies, Bimbo was committed to lowering its operating costs and improving its level of operative efficiency. As a result, it segmented and specialized its distribution channels, adding more than 1,200 new routes, while simultaneously optimizing the structure by reducing personnel. Together, this resulted in labor productivity increases.

Another primary goal of Bimbo is to promote new product launches, particularly those that have a high nutritional value and can respond to the new standards of healthy eating. Products such as Bimbo's Multigrain bread (Pan Multigrano Bimbo) and the Bran Frut cereal bars became winners in record time. Other outstanding products this year were the 0% Fat 0% Sugar Wholesome bread and the new Toasted Mini Bread (Mini Pan Tostado).

Strengthening its "Bread of Champions" campaign, our Wonder brand in Mexico became proud official sponsor of the Mexican Olympic Committee that will represent the country in the 2004 Athens Olympics, in Greece.

The sweet roll, cookie and snack cake segments also grew significantly due to new product introductions, such as the Chókolo chocolate snack cake with milk filling; to the revamping of product packages and to line extensions, as with the Príncipe White Chocolate cookies (Príncipe Chocolate Blanco).








### Barcel, S.A. de C.V.

For Barcel, S.A. de C.V, 2003 was a year of sustained growth due to a revival in sales for the snacks segment and the recovery of the confectionary market. Driven by the reactivation of the snacks market, the operative reorganization and the successful launch of innovative products, Barcel was able to increase its sales points, expand its geographic coverage and increase its sales level.

The Barcel brand's notable performance can be attributed to an intense marketing activity, primarily in the area of new product launches, such as the Doña Pepita sunflower seeds, line extensions, the development of successful promotional campaings and gaining entrance into new niche markets, as was the case of the Paprizas light potato chips.

In spite of the difficulties related to the confectionary sector, Ricolino was able to improve its performance compared to the previous year and maintain its market share. This was due to the repositioning of its top quality product line, which includes the Chocoretas Premium (mint-covered chocolate candy), Almendras Premium (almonds) and Pasitas Premium (raisins), and to the introduction of the Paquete Rico Semana Mix (a candy mix package) and innovative new product launches, such as the Gomilocas and Just Fruttie gummy lines.

During 2003, Coronado, a leader in the caramel market, experienced notable growth, increasing its sales significantly. In order to expand its product mix, the brand launched its new Practi-Pac, which offers the traditional flavor of Cajeta Coronado in different size and price options.

### Bimbo Bakeries USA, Inc. (BBU)

The year 2003 was difficult for the baking industry in the United States due to a depressed market, labor strikes in three of the main supermarket chains in Southern California and an increase in operating costs. Nevertheless, our sales team made extraordinary efforts that resulted in a higher market penetration. In addition, all of the operations were optimized to help improve our profitability.

Our goals focused on three areas: the continuation of the integration process that began in 2002, the implementation of the first out of three modules of the ERP system and the route conversion to independent distributors.

The acquisition of the George Weston operations more than doubled the size of BBU, which posed great logistical challenges. In terms of the ERP, the financial module was completed in 2003, leaving two modules to be implemented.

The changes in consumer preferences were even more evident this year than in previous ones, particularly with the demand for low carbohydrate as well as more nutritious products. In response to this market trend, BBU launched 28 new products. Some of the most notable introductions were: the new line of














Carb Counting breads by Oroweat, a low carbohydrate tortilla from Tia Rosa and the Harvest Select bread line from Mrs Baird's.

The strategy of launching new products and exporting them to the United States is now producing positive results. The Bimbo and Marinela brands have performed well in those markets and, as a result, we have strengthened our presence among the Hispanic population.

This year we intensified our promotional and advertising activities. In an effort to capture the attention of sports fans, Mrs Baird's successfully presented "The Ultimate Smoker & Grill" event, a 55 foot long grill that travels to sporting events throughout Texas giving out hamburgers and hot dogs before the games.

We are proud to report that our Oroweat brand, became the Official Bread Supplier for the 2004 U.S. Olympic Team that will compete in the Olympic Games in Athens, Greece. As a result, Oroweat is available to the U.S. athletes at U.S. Olympic Training Centers through the year 2004, thus strengthening the brand's link with health and sports.

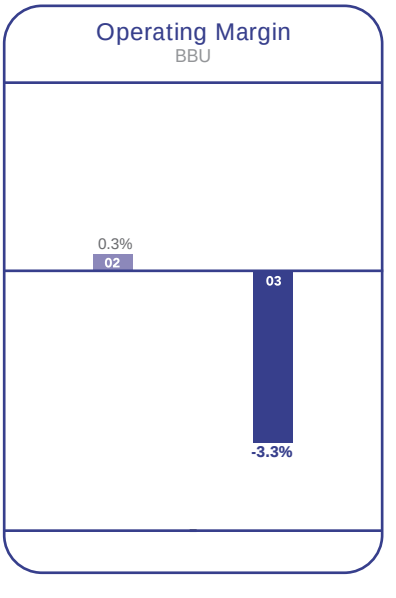
BBU was also recognized as the "2003 Supplier of the Year" by Wal-Mart's commercial bakery division. This award is very significant as it shows that we are meeting one of our key objectives: developing closer professional relationships with our customers.

Despite the good news, we must emphasize that our operation continues to present significant challenges in terms of cost and distribution structure. As was previously mentioned, BBU was affected by the extraordinary events that took place within the market, with the clients as well as within the industry itself and which, together, contributed significantly to the deterioration of BBU's profitability in 2003.

### Latin America Division (OLA)

The economic recovery and stability that now exists in the majority of the South American countries where we operate was crucial to the significant sales recovery, particularly during the second half of the year. The largest sales volume increases occurred in Argentina, Brazil and Chile. In Chile, we achieved our best performance ever while in Brazil, one of the countries most affected by the recent economic instability, by the end of the year we were able to reduce our operating losses by 40%.

Grupo Bimbo's response to the difficulties in these markets has been highly proactive. To confront these challenges, we took measures to lower costs, which in turn favored our profitability levels. For example, in








Venezuela, the optimization of our operations enabled us to improve our position and make our operations more sound and efficient despite the complicated environment that exists in this country. This trend was also evident on a regional basis given that the overall cost reduction represented four percentage points in terms of total sales.

As has been mentioned, in Chile we acquired *Alimentos Fuchs Ltda.*, a company that produces European-style variety breads, in order to improve our position in this market.

Another action taken by OLA was an aggressive product launch in conjunction with intensive promotional and advertising campaigns. As a result, the dietetic breads were well received by consumers throughout the region, such as the Bimbo Diet bread in Venezuela, which has become OLA's third most sold item. In Brazil, we extended the Light bread line and boosted sales through comprehensive operative improvements as well as intense commercial activities based on successful promotions.

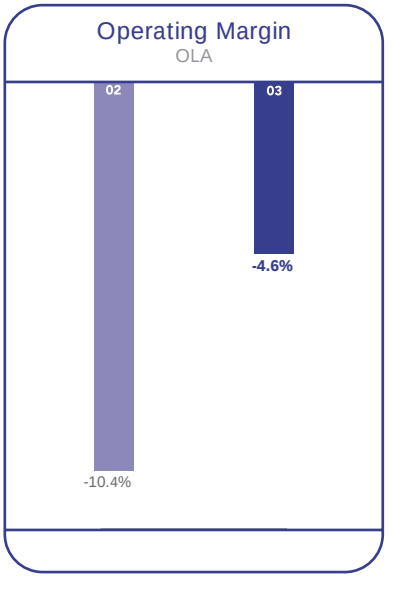
In Argentina, we continue to confront great challenges due to the general market environment as well as the strong competition we are facing. In response, we launched a successful and aggressive advertising campaign to reposition our products vis-à-vis the consumer, highlighting our product's excellent balance in price and quality. This particular campaign was voted as one of the most outstanding promos of 2003 by local advertising agencies. In addition, as a result of favorable exchange rates and our installed capacity we began exporting products to other markets.

Finally, in order to improve the efficiency within our regional operations, Grupo Bimbo completed the installation of the ERP platform in Brazil, Argentina, Chile and Colombia. This system has been fundamental for the Company given that we have been able to significantly reduce our expenditures and increase the reliability of the information. We expect to finish with the first phase in Venezuela and Peru during 2004.

### Central America

In Central America, the year 2003 was characterized by the consolidation of the market. As such, our efforts were focused on unifying the commercial strategy throughout the region and integrating it with that of Mexico. Therefore, we worked on emphasizing the visibility and development of the brands' images mainly through successful product launches. As a result, products such as Pan de Mantequilla Bimbo quickly became a consumer favorite.



# Commitment with our
# People and the Community

For more than 58 years, Grupo Bimbo has worked to forge a strong link with its associates and the community. This bond is based on solid principles and values that include: passion, trust, teamwork and the person, as the center of our philosophy.

As a result, we firmly support the personal and professional development of our associates through training programs. The training courses provide both leadership and technical training for our associates. We also facilitate and promote the completion of basic education for those associates who wish or need to complete their studies. Additionally, we support continuing education for those persons who require it, through arrangements with specific higher learning institutions.

### The Community

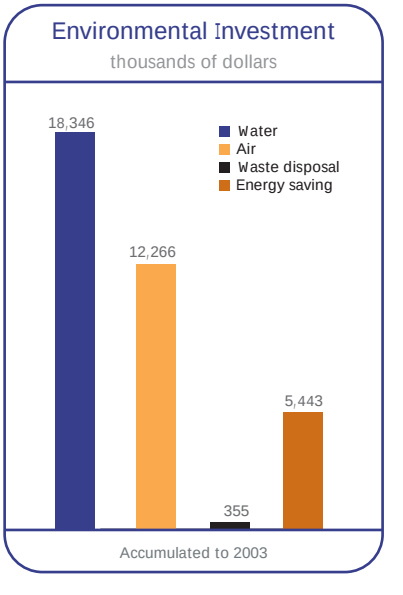
Throughout its history, Grupo Bimbo has maintained an important role within the community by focusing on high social impact projects that promote it's integral development.

The Company's primary areas of support are: health and nutrition, poverty alleviation through rural development, the environment, small business development and education.

For Grupo Bimbo, the promotion of health and nutrition is an important task. The Company is committed to promoting the benefits of a healthy diet as well as the nutritional benefits derived from bread. Through its Nutrinotas, an informative bulletin published by the Company and now available online, Grupo Bimbo disseminates consumer-friendly nutritional messages and emphasizes the importance of keeping a healthy and balanced lifestyle.

Additionally, Grupo Bimbo has been a distinguished sponsor of the Mexican Foundation for Rural Development since its founding in 1963. Its projects to strengthen domestic wheat producers represent true efforts to improve conditions and promote long-term solutions for subsistence-level farmers.

In terms of environmental protection, Grupo Bimbo seeks to further advance the conservation, restoration and educational efforts related to the forest through its non-profit organization called *Reforestamos Mexico, A.C.* It is important to note that, as dou-





ble benefit, the majority of the funds for these projects come from the energy savings obtained by the Company during the year.

Likewise, Grupo Bimbo also supports the development of young entrepreneurs through training and technical assistance programs that seek to foster the development of small business. The non-profit organization *IMPULSA, A.C.* is the primary institution through which these programs are carried out.

In the area of education, Grupo Bimbo is interested in elevating the quality level of education. To further this goal, it supports the Mexican Institute for Excellence in Education (Instituto Mexicano para la Excelencia Educativa, A.C.) and also grants scholarships to students and their families to attend the *Instituto Educativo Crisol* as well as other learning centers. Moreover, the Company supports school tours to visit the Papalote Children's Museum *(Papalote Museo del Niño)*, where it is also a sponsor of several of its exhibitions.

Through these actions, our Company contributes in a tangible and positive way to the integral advancement of their colleagues and their families as well as of the community as a whole. In recognition of these efforts and for the fourth year in a row, Grupo Bimbo has been acknowledged as a Socially Responsible Company by the Mexican Center for Philanthropy (CEMEFI).

For Grupo Bimbo, social responsibility is a firm commitment. It is a fundamental value in its philosophy of promoting quality of life for all.




*Rubén Sánchez, Marinela salesman. Holds the record of 40 years without accidents.*

# 2003 Management Committee

Daniel Servitje – Chief Executive Officer

He received his MBA from Stanford University. Prior to joining Bimbo, he worked in Cifra (Mexican retailer). He joined the Group in 1987. Has been Vice President of the Bimbo Division, President of the Marinela Division, and Executive Vice President of Grupo Bimbo. He is a board member of Coca Cola Femsa, Banamex (part of Citigroup), Grocery Manufacturers of America (GMA), of the Universidad Iberoamericana and of the ITAM Business School.

Reynaldo Reyna – Corporate President

He studied Systems and Industrial Engineering at the ITESM in Monterrey, and holds a Master in Operations Research and Finance from Wharton, University of Pennsylvania. He joined Grupo Bimbo in May 2001.

Guillermo Quiroz – Chief Financial Officer

Has an B.S. in Actuary Sciences by the Universidad Anáhuac with an MBA from the IPADE. He joined Grupo Bimbo in 1999.

Javier Millán – Vice President of Human Relations

He holds two undergraduate degrees: one in Philosophy and another one in Business Administration. He completed the Top Business Management Program of the IPADE. Has collaborated with the Group for over 24 years as Development Chief, Personnel and Relations Manager in Marinela, and later as Corporate Manager.

Rafael Vélez – President, Bimbo, S.A. de C.V. (Mexico and Central America)

With a major in Chemical Engineering, he joined the Group in 1967, where he has held different positions. Among them, the General Management of many of our plants in Mexico. He was Corporate President and later President of our Latin America Division (OLA). Named Executive of the Year by *Industrial Alimenticia* Magazine in 1998. President of the American Institute of Baking (AIB).

Juan Muldoon – President, Bimbo Bakeries USA, Inc. (BBU)

He holds an undergraduate degree in Business Administration from the Universidad Iberoamericana. Joined the Group in 1990 occupying several corporate positions. In 1992, he was designated President of Ideal, S.A. in Chile, and later became Vice President of OLA from 1996 to 1998.

Gabino Gómez – President, Latin America Division (OLA)

He studied Marketing at the ITESM. Joined the Group in 1981 and has held several positions, like Vice President of the Group's Business Development Division, and Vice President of OLA from 1996 to 1998.

Javier Augusto González – President, Barcel, S.A. de C.V.

He majored in Chemical Engineering and has a MBA degree. He joined the Group in 1977 and has held different positions. Among the most recent, Vice President of the Latin America Division and of the Bimbo Division.

### 2004 Management Committee

Daniel Servitje
Chief Executive Officer

José Rosalío Rodríguez
Corporate President

Pablo Elizondo
President, Bimbo, S.A. de C.V.

Reynaldo Reyna
President, Bimbo Bakeries USA, Inc. (BBU)

Guillermo Quiroz
Chief Financial Officer

Javier Millán
Vice President of Human Relations

Javier Augusto González
President, Barcel, S.A. de C.V.

Alberto Díaz
President, Latin America Division (OLA)

# Board of **Directors**

| | | |
|---|---|---|
| **Chairman:** | Roberto Servitje | PR |
| **Board Members:** | Henry Davis | I |
| | José Antonio Fernández | R |
| | José Luis González (†) | I |
| | Ricardo Guajardo | I |
| | Jaime Jorba | PR |
| | Mauricio Jorba | PR |
| | Francisco Laresgoiti | PR |
| | José Ignacio Mariscal | PR |
| | María Isabel Mata-Torrallardona | PI |
| | Víctor Milke | PR |
| | Raúl Obregón | PR |
| | Roberto Quiroz | PI |
| | Alexis E. Rovzar | I |
| | Lorenzo Sendra | PR |
| | Daniel Servitje | PR |
| | María Elena Servitje | PR |
| **Examiner:** | Juan Mauricio Gras | |
| **Alternate Examiner:** | Walter Fraschetto | |
| **Proprietary Secretary:** | Alexis E. Rovzar | |
| **Alternate Secretary:** | Alberto Sepúlveda | |

**PR** = Patrimonial Related
**PI** = Patrimonial Independent
**R** = Related
**I** = Independent

# Governance **Committees**

### Audit Committee

| | |
|---|---|
| **Chairman:** | Roberto Quiroz |
| **Secretary:** | Guillermo Sánchez |
| | Henry Davis |
| | Francisco Laresgoiti |
| | Víctor Milke |
| | Alexis E. Rovzar |

### Evaluation and Compensation Committee:

| | |
|---|---|
| **Chairman:** | Henry Davis |
| **Secretary:** | Javier Millán |
| | Roberto Servitje |
| | José Antonio Fernández |
| | Raúl Obregón |
| | Daniel Servitje |

### Finance and Planning Committee:

| | |
|---|---|
| **Chairman:** | José Ignacio Mariscal |
| **Secretary:** | Guillermo Quiroz |
| | José Luis González (†) |
| | Ricardo Guajardo |
| | Mauricio Jorba |
| | Raúl Obregón |
| | Lorenzo Sendra |
| | Daniel Servitje |

# Board Members' **Profiles**

### Henry Davis
President of Promotora Dac, S.A.
Chairman of the Board of the following companies: Probelco, S.A., Desarrollo Banderas S.A., Nadro S.A. de C.V., and Grupo Financiero IXE, S.A. de C.V.
President and Founder of: National Association of Supermarket and Department Stores (ANTAD), and the Mexican Association for E-Commerce Standards (AMECE)

### José Antonio Fernández
Chairman of the Board and CEO of Grupo Femsa,
Chairman of the Board of Coca-Cola Femsa, S.A. de C.V.
Vice President of the Board of the Instituto Tecnológico y de Estudios Superiores de Monterrey (ITESM)
Board Member of the following organizations: Grupo Financiero BBVA Bancomer, Industrias Peñoles and Grupo GIS

### José Luis González (†)
Chairman of the Board of Corporación Quan
Board Member of: Progrupo and Industria Innopack

### Ricardo Guajardo
Chairman of the Board of Grupo Financiero BBVA Bancomer and of the Center for Economic Studies for the Private Sector (CEESP)
Board Member of: ITESM, Fomento Económico Mexicano (Femsa), Grupo Industrial Alfa, El Puerto de Liverpool, Grupo Aeroportuario del Sureste (ASUR) and of the International Capital Markets Advisory Committee of the Federal Reserve Bank of New York

### Jaime Jorba
Chairman of the Board of: Frialsa and of Promotora de Condominios Residenciales

### Mauricio Jorba
Manager of Grupo Bimbo Spain
Board Member of VIDAX

### Francisco Laresgoiti
CEO of Grupo Laresgoiti
Board Member of the Mexican Foundation for Rural Development, A.C. (FMDR)

### José Ignacio Mariscal
CEO of Grupo Marhnos
Chairman of IMDOSOC
Vice President of Fincomún
Board Member of the following organizations: Sociedad de Inversión de Capital de Posadas de Mexico, Grupo Calidra, Mexican Association for Promotion and Social Culture, Uniapac International and of the Coparmex Executive Commission

### María Isabel Mata-Torrallardona
Board Member of Tepeyac, A.C.

### Víctor Milke
CEO of Corporación Premium S.C.

### Raúl Obregón
Corporate Director of Grupo BAL
Board Member of the following companies: Industrias Peñoles, Crédito Afianzador, Grupo Palacio de Hierro, Valores Mexicanos Casa de Bolsa, Arrendadora Valmex, Grupo Nacional Provincial, S.A., and of GNP Pensiones, S.A. de C.V.

### Roberto Quiroz
Chairman of the Board and CEO of Grupo Industrial Trébol
Board Member of: Esmaltes y Colorantes Cover and of Tepeyac, A.C.

### Alexis E. Rovzar
Managing Partner of the International Lawfirm White & Case, S.C.
Board Member of the following companies: Coca-Cola Femsa, Ray & Berndtson, Comex, Grupo Acir, Comsa, Deutsche Bank and of the Indiana University Center on Philanthropy

### Lorenzo Sendra
Chairman of the Board of Proarce, S.A. de C.V.
Board Member of the following companies: Novacel, Ronald McDonald Foundation, Support for Health and Nutrition and of the Mexican Foundation for Rural Development (FMDR)

### Daniel Servitje
CEO of Grupo Bimbo
Board Member of the following companies: Coca-Cola Femsa, Grupo Financiero Banamex and the Banco Nacional de México, FICSAC (Universidad Iberoamericana) and the ITAM Business School, and Grocery Manufacturers of America (GMA)

### María Elena Servitje
CEO of the Papalote Children's Museum
President of the Board of Trustees of the National Pediatrics Institute
Member of the Pro-Bosque de Chapultepec Trusteeship
President of the "Revive Chapultepec" Funding Campaign

### Roberto Servitje
Chairman of the Board of Grupo Bimbo
Board Member of the Following Companies: Daimler-Chrysler Mexico, Fomento Económico Mexicano (Femsa), of the Escuela Bancaria y Comercial (EBC), and of the Fundación para las Americas

# BBU Advisory **Board**

## External Advisors (2003)

**Henry Davis***
President, Promotora Dac, S.A. de C.V.
(Former CEO of Wal-Mart Mexico)
Mexico City

**Ambassador Jeffrey Davidow**
President, Institute of the Americas
(Former U.S. Ambassador to Mexico)
La Jolla, CA

**Bernard Kastory**
Professor, New York University
(Former Executive Vice President of Bestfoods)
Saratoga Springs, NY

**José Ignacio Mariscal***
Executive President, Grupo Marhnos, S.A. de C.V.
Mexico City

**Matthew Meacham**
Managing Partner, Bain & Co.
Irving, TX

**Robert C. Nakasone**
CEO, NAK Enterprises, L.L.C.
(Former Executive Vice President of Jewel and CEO of Toys R Us, Inc.)
Santa Barbara, CA

**Betsy Sanders**
CEO, The Sanders Partnership
Sutter Creek, CA

*Members of Grupo Bimbo's Board of Directors

## Internal Advisors (2003)

**Roberto Servitje**
Chairman of the Board, Grupo Bimbo

**Daniel Servitje**
Chief Executive Officer, Grupo Bimbo

**Juan Muldoon**
President, Bimbo Bakeries USA, Inc.

**Reynaldo Reyna**
Corporate President, Grupo Bimbo

**Guillermo Quiroz**
Chief Financial Officer, Grupo Bimbo

## External Advisors (2004)

**Henry Davis***
President, Promotora Dac, S.A. de C.V.
(Former CEO of Wal-Mart Mexico)
Mexico City

**Ambassador Jeffrey Davidow**
President, Institute of the Americas
(Former U.S. Ambassador to Mexico)
La Jolla, CA

**Bernard Kastory**
Professor, New York University
(Former Executive Vice President of Bestfoods)
Saratoga Springs, NY

**José Ignacio Mariscal***
Executive President, Grupo Marhnos, S.A. de C.V.
Mexico City

**Matthew Meacham**
Managing Partner, Bain & Co.
Irving, TX

**Robert C. Nakasone**
CEO, NAK Enterprises, L.L.C.
(Former Executive Vice President of Jewel and CEO of Toys R Us, Inc.)
Santa Barbara, CA

**Betsy Sanders**
CEO, The Sanders Partnership
Sutter Creek, CA

*Members of Grupo Bimbo's Board of Directors

## Internal Advisors (2004)

**Roberto Servitje**
Chairman of the Board, Grupo Bimbo

**Daniel Servitje**
Chief Executive Officer, Grupo Bimbo

**Reynaldo Reyna**
President, Bimbo Bakeries USA, Inc.

**Rosalío Rodríguez**
Corporate President, Grupo Bimbo

**Guillermo Quiroz**
Chief Financial Officer, Grupo Bimbo

# OLA Advisory **Board**

## External Advisors (2003)

**Carlos Mario Giraldo**
President, Compañía de Galletas Noel, S.A.
Medellin, Colombia

**José Luis González* (†)**
Chairman of the Board, Corporación Quan, S.A. de C.V.
Mexico City

**Luis Pagani**
President, Grupo Arcor
Buenos Aires, Argentina

**Leslie Pierce**
Chief Executive Officer, Alicorp, S.A.
Lima, Peru

**João Alves Queiroz**
President, Monte Cristalina, S.A.
São Paulo, Brazil

**Lorenzo Sendra***
Commercial Vice President, Bimbo, S.A. (retired)
Mexico City

**Eduardo Tarajano**
Private Investor
Key Biscayne, Florida

*Members of Grupo Bimbo's Board of Directors

## External Advisors (2004)

**Carlos Mario Giraldo**
President, Compañía de Galletas Noel, S.A.
Medellin, Colombia

**Victor Milke ***
Chief Executive Officer, Premium, S.C.
Mexico City

**Luis Pagani**
President, Grupo Arcor
Buenos Aires, Argentina

**Leslie Pierce**
Chief Executive Officer, Alicorp, S.A.
Lima, Peru

**João Alves Queiroz**
President, Monte Cristalina, S.A.
São Paulo, Brazil

**Lorenzo Sendra***
Commercial Vice President, Bimbo, S.A. (retired)
Mexico City

**Eduardo Tarajano**
Private Investor
Key Biscayne, Florida

*Members of Grupo Bimbo's Board of Directors

## Internal Advisors (2003)

**Daniel Servitje**
Chief Executive Officer, Grupo Bimbo

**Reynaldo Reyna**
Corporate President, Grupo Bimbo

**Guillermo Quiroz**
Chief Financial Officer, Grupo Bimbo

**Gabino Gómez**
Chief Executive Officer, Latin America Division (OLA)

**Alberto Díaz**
Vice President, Latin America Division (OLA)

## Internal Advisors (2004)

**Daniel Servitje**
Chief Executive Officer, Grupo Bimbo

**Rosalío Rodríguez**
Corporate President, Grupo Bimbo

**Guillermo Quiroz**
Chief Financial Officer, Grupo Bimbo

**Alberto Díaz**
Chief Executive Officer, Latin America Division (OLA)

# Report from the
# President of the Auditing Committee

To the Board of Directors Grupo Bimbo, S. A. de C. V.:

In accordance with Article 14 of the Securities Exchange Law and in the name of the Audit Committee, I hereby inform you of the activities that were carried out during the fiscal period ending December 31, 2003. We have strictly followed the Committee's Internal Regulations and the recommendations established in the Best Corporate Practices Code. The Society's Examiner was convoked under the terms of the above-mentioned Law and was present at the meetings.

In compliance with its fundamental responsibilities relative to the effectiveness of the internal control guidelines as well as the accuracy and trustworthiness of the financial information prepared by the Management for use by the Board of Directors, Shareholders and third parties, we carried out the following activities:

1. With the support of both the external and internal auditors, we reviewed the internal control general guidelines and followed up on the implementation of the suggestions that were made.

2. We evaluated the independence of the Internal Audit area and approved its 2003 work plan and budget.

3. We analyzed the Internal Audit area's periodic reports as to the advances in the approved work plan and any deviations that could have occurred as well as the observations and suggestions that were mentioned and their timely implementation.

4. Recommendations were made regarding the hiring of external auditors for the Company and its subsidiaries. To carry out this recommendation, we guaranteed their independence and, together with the auditors, we analyzed their focus, work plan and the process by which they would coordinate with the Internal Audit area.

5. We were made aware of the external auditors' conclusions in a timely fashion and we recommended that the Board of Directors approve the annual financial statements. We stayed in constant contact with the external auditors so that we were appraised of their progress and the observations that they made in order to finish their audit.

6. We evaluated the existing controls established by the Company to ensure compliance with the various legal regulations that the Company is subject to.

7. We followed up on the production of the accounting policies manual as well as on the revisions to the implementation and application of the Ethics Code.

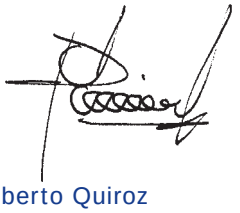
8. The Committee verified that the interim financial information that was prepared by the Management to be presented to the shareholders and the general public was produced in accordance with the same policies, criteria and practices as the annual information. As a result, we recommended that the Board of Directors authorize its publication.

9. We reviewed the operations of the Society/Company, it shareholders and persons with direct family links.

10. We reviewed the report regarding the Company's compliance with environmental regulations.

11. The tasks that were completed remain duly documented in the minutes from each meeting. The minutes were reviewed and approved in a timely fashion by the Committee members.

Sincerely,



Roberto Quiroz
Chairman of the Audit Committee

# Management's Discussion and Analysis
## For the years ended December 31, 2003 and 2002

The figures appearing in this section are expressed in millions of constant Mexican pesos as of December 31, 2003, unless stated otherwise, and were prepared according to Generally Accepted Accounting Principles in Mexico; thus, all percentage changes are expressed in real terms.

The Company's results for the year 2003 were characterized by consistent net sales growth, a substantial recovery at the operating level during the second half of the year, and the registering of two different non-recurring items whose net effect can be seen in the behavior of net income.

Net sales for 2003 increased 5.2% mainly due to the specialization of the distribution network, the intense and ongoing activity in the launching of new products, important promotional and advertising campaigns, the extended shelf life and the price increases that took place during the last quarter of the year. Additionally, yoy growth reflects the benefit of the incorporation of the operations acquired in the United States in March 2002.

On the other hand, the last quarter of the year confirmed the recovery of the operating results that began in the third quarter, as a result of the conclusion of the most intense investment phase of the transformation projects in which the Company has been involved during the past years. Consequently, operating income registered an accumulated increase of 11.1%, which implied a 7.1% margin, 0.4 percentage points higher than the figure reported for 2002.

During the fourth quarter of the year, the Company recognized two extraordinary events of opposite nature. The first one was related to a non-recurring income in the amount of Ps. 1,606 from the recovery of taxes, while the second referred to the recognition of a loss in the value of long-term assets, mainly in the United States, and whose net effect reached Ps. 1,864.

As a result of the above-mentioned factors, net income for the year was Ps. 964, which was 3.9% lower than the figure reported last year; while the net margin reached 2.1%, 0.2 percentage points lower than the figure reported for 2002.

Finally, regarding the Company's financial structure, the stability in the cash flow generated during the year allowed three prepayment transactions for a total of US$ 263 million.

### Net Sales

In Mexico, this line item registered a 6.2% increase, highly surpassing the 3.3% annual increase in retail sales figures published by INEGI *(Instituto Nacional de Estadística, Geografía e Informática)*. The above was mainly the result of the strong performance of the bakery and salted snack businesses and average price increases of 4-5% implemented during the last quarter of the year.

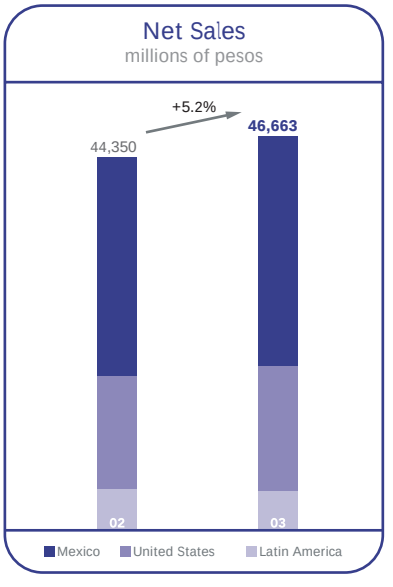
The solid performance of volumes was mainly driven by the specialization of the distribution network, as well as by the constant activity in the launching of new products, the extended shelf life and a higher market penetration in the salted snacks and confectionary lines. It is important to mention that, during the fourth quarter of the year, the confectionary sector was able to reverse the contraction tendency that it had experienced since 2002.

In the United States, net sales increased 7.0% due to three additional months of sales from the business acquired in March 2002 and the price increases that took place throughout most of the product categories, since volumes continued to be affected by adverse market conditions and strong competition. In addition, during the fourth quarter, volumes in the Western region were affected by a retail clerk strike in three important supermarket chains (Albertsons, Safeway and Kroger), located in southwestern California.

Furthermore, it is important to mention that, throughout the year, the food industry suffered a contraction stemming from a consumer trend of following diet regimens reducing the consumption of carbohydrates. In this regard, in the region in which the Company operates, bread consumption decreased by approximately 5.5% during the year. To offset the above-mentioned factors, the Company has continued launching products according to the market's new tendencies. An example of this is the introduction of *Oroweat's Carb Counting* bread, which is endorsed by the Atkins Physicians' Council (APC).

Also, Mexican products continued to successfully penetrate this market, which at the end of the twelve-month period reflected double-digit growth.

In Latin America, net sales decreased 4.1% compared to the previous year, since the recovery that took place during the fourth quarter was not able to offset the contraction experienced during the first nine months of the year. The previously-mentioned contraction is the result of the economic and political crises that took place in some of the countries in which the Company operates. The most affected operations were the ones in Brazil and Venezuela, while in Argentina, the operations were supported by the exports to other operations of the Company.




## Cost of Goods Sold

This figure represented 46.7% of net sales, which implied a slight decline of 0.1 percentage points compared to 2002. This is the result of a higher absorption of fixed costs from increased volumes, the commodity hedging strategies implemented by the Company and the price increases that took place during the last quarter of 2002; which jointly were able to offset price increases for some raw materials, higher labor costs in the U.S. operations, as well as the impact of the sale of distribution routes in Texas, which resulted in lower revenues.

It is important to note that the improvement in this line item offset certain extraordinary charges registered in the United States - which combined reached Ps. 59 - related to adjustments in the provisions for the employee pension fund, vacation pay and Workers Compensation, as well as severance payments.

## Operating Expenses

This figure represented 46.2% of net sales, 0.3 percentage points lower than the 2002 result. The above can be explained by the benefits and/or the reduction of expenses that we would begin to obtain during the second half of the year upon the conclusion of the most intensive implementation phase of the commercial and technological transformation projects that the Company has been immersed in since 2000.

The distribution and selling expenses reflected the above-mentioned benefits, since, despite the important increase in earnings, as a percentage of sales, this figure decreased 0.3 percentage points. Meanwhile, administrative expenses remained practically unchanged. The performance of distribution and selling expenses was mainly attributed to the specialization and, in some cases, the closing and consolidation of agencies and transportation, as well as the cancellation of unprofitable routes.

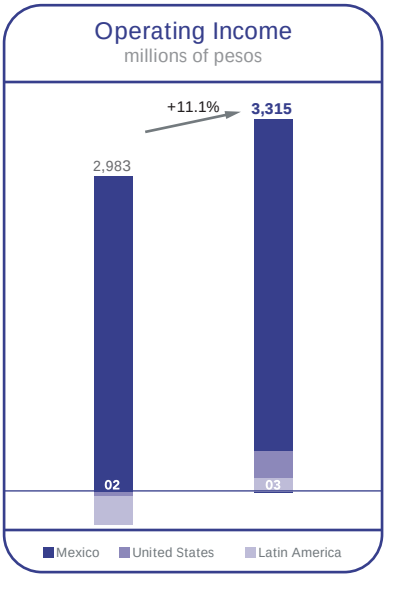
The reduction in distribution and selling expenses, mentioned previously, is particularly important considering that as a result of the specialization of the distribution network, the Company opened 1,765 new routes while reducing its labor force by over 1,800 employees during the year.

In addition, it is important to highlight that the decrease in distribution and selling expenses was able to offset some non-recurring charges, which as with the cost of goods sold, had to be recognized for the administrative and distribution line items in BBU. Specifically, administrative expenses were affected in the fourth quarter by a Ps. 91 charge

related to the closing of one plant and the sale of a real estate, both in Dallas, which according to FASB 146, must be classified as operating expenses for the period; while previously they were registered under Other Expenses. Combined, these extraordinary operating expenses reached Ps. 186.

### Operating Income

Operating income reached Ps. 3,315, a recovery of 11.1% compared to 2002. This confirmed the Company's expectations regarding the change in the behavior of the Company's operating levels upon the conclusion of the most intensive investment phase of the Company's transformation projects. Thus, operating margin was 7.1%, 0.4 percentage points higher than that reported in the previous year.




By region, it is important to highlight the performance of the operations in Mexico and Latin America. In the first case, operating margin reached 12.3%, representing an increase of 1.1 percentage points compared to the figure reported in 2002. In Latin America, operating margin was -4.6%, which meant that these operations lowered their operating loss by more than half compared to 2002. The above was a result of the fact that during the fourth quarter, these operations reached the lowest operating loss in their history.

With respect to the U.S., the operating margin for the quarter was -3.3%, while excluding extraordinary charges, it would have been -1.4%. These figures continued reflecting increases in labor costs, strong competition and the changing conditions experienced in that market.

### Integral Cost of Financing

Integral cost of financing reached Ps. 796, 29.6% higher than that reported in 2002. The above arises from the combination of a higher amount of net interest paid, which could not be offset by a lower foreign exchange loss.

Interest behavior can be mainly explained by: i) a higher debt cost, since during 2003 there were three additional months of interest since the loan related to the U.S. acquisition was assumed in March 2002, and ii) the prepayments for a total of US$ 263 million that took place during the year were made to the lowest interest rate carried by the corporate debt.

On the other hand, the lower foreign exchange loss is the result of lower exposure to dollar-denominated debt, since the bridge loan that was contracted to finance the previously-mentioned acquisition was refinanced in the Mexican market in May and August of 2002.

It is important to mention that the interest paid and gained not only included the direct effects of the loans and the investments but also the effects from hedging operations.

### Other Income and Expense

Other net income for the year reached Ps. 844, which was mainly composed of the amortization of goodwill and the extraordinary benefit following the decision in favor of Grupo Bimbo related to a recovery of taxes from the amortization of fiscal losses obtained from the transfer of shares during 2001, which was announced in November 2003.

It is important to mention that in this line item it was registered the portion that corresponds to the taxes paid in 2001 and 2002, which reached Ps. 1,022, while the remaining balance (Ps. 584) was applied to Taxes, as explained below.

### Taxes

Income tax for the twelve-month period decreased by Ps. 584, which corresponds to the application of the remaining balance of the amortization of the fiscal loss of 2001, as mentioned above.

Thus, the implicit tax rate for 2003 was 7.1%. Excluding the tax recovery mentioned previously, the reported rate would have been 35.2%.

### Impairment of Long-Term Assets

In order to increase the transparency of Grupo Bimbo's financial statements, the Company's management adopted, in advance, the accounting principles of Bulletin C-15, "Impairment of long-term assets and its regulations", issued by the Mexican Institute of Public Accountants. This bulletin establishes the general criteria that enables the identification, valuation and, when necessary, registration of losses due to impairment or decrease in the value of long-term assets, tangible or intangible, including goodwill.

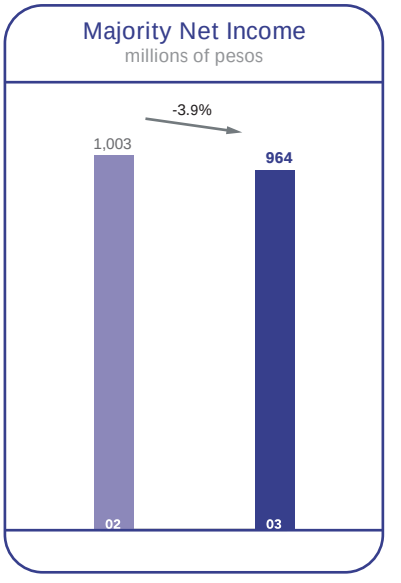
As a result of the early adoption of this accounting norm, the fourth quarter figures registered a decrease, net of taxes, of Ps. 1,864, which mostly relates to the U.S. operations. The above corresponds to the history of losses in the region and the only-slightly optimistic view of the business in the short-term due to the structural changes in the market, which have altered the profitability of the entire industry.

It is important to emphasize that the amount registered for the impairment of long-term assets did not represent a cash outflow for Grupo Bimbo.

### Majority Net Income

For the full year period, majority net income was Ps. 964, 3.9% lower than the figure reported in 2002. Thus, net margin was 2.1%, which represented a decrease of 0.2 percentage points compared to the previous year.

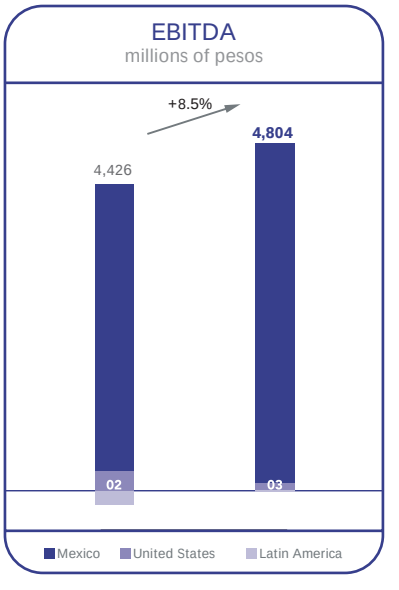
While the above-mentioned factors reflected a substantial recovery at the operating level, it is important to note that net income was affected by the mixed result of the recognition of the loss in the value of long-term assets and the extraordinary income for the recovery of taxes.




### Earnings Before Interests, Taxes, Depreciation and Amortization (EBITDA)

In-line with the recovery trend of the operating results of the Company, EBITDA reached Ps. 4,804, which implied a margin of 10.3%. This represented increases of 8.5% and 0.3 percentage points, respectively, compared to 2002.

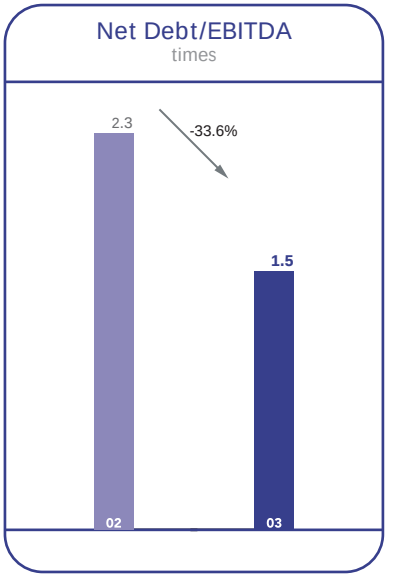
Furthermore, excluding the extraordinary charges registered during the second half of the year, EBITDA margin would have been 10.8%, a recovery of 0.8 percentage points when compared to the previous year.



## Financial Structure

It is important to note that as a result of the extraordinary events of the fourth quarter, which were the recovery of taxes and the impairment in value of long-term assets, at the close of 2003, the Company registered an account receivable of Ps. 1,606 as well as a reduction in deferred assets of approximately Ps. 2,100, respectively.

Due to the extraordinary events mentioned previously, the recovery in the operating results for the period and the stability of the Company's cash flow, which combined allowed for three prepayments for a total of US$ 263 million, the Company's debt levels, measured as net debt to shareholders' equity reached 0.46 times, which represented an improvement over the 0.67 times reported in December 2002. Likewise, net debt to EBITDA ratio reached 1.5 times, an improvement of 0.76 times versus the previous year.




## Recent Events

- On March 20, 2003, Grupo Bimbo made a prepayment for US$ 63 million related to the Syndicated Loan, scheduled to mature in October 2004.
- On June 5, 2003, Grupo Bimbo announced that as part of its strategy of focusing on its core businesses, together with its partner Grupo Arteva, S. de R. L. ("Arteva") - it had agreed to sell Novacel, S.A. de C.V. ("Novacel"), a flexible packaging Company, for US$ 90 million, to Pechiney Plastic Packaging, a subsidiary of the French global leader in packaging solutions, Pechiney. Prior to that sale, the Company had owned 41.8% of the capital stock, while Arteva owned the remaining stake.

This divestiture was in line with the Company's strategy of focusing its resources on its core businesses aimed at the final consumer. Grupo Bimbo and Pechiney entered into a long-term supply contract, consistent with general industry practices, whereby Novacel will continue to provide a key portion of the Company's flexible packaging needs.

- On July 22, 2003, Grupo Bimbo announced that it acquired a minority interest in a consortium led by Mexican entrepreneur Mr. Fernando Chico Pardo.

This consortium acquired certain property and debt rights of the Argentine food company, Compañía de Alimentos Fargo, S.A., with plans to undertake a financial and operating restructure. Grupo Bimbo's stake represents 30% of the capital stock of this consortium.

- On August 19, 2003, Grupo Bimbo announced that upon receipt of the corresponding authorizations, it concluded the sale - together with Arteva- of Novacel to Pechiney Plastic Packaging.
- On September 22, 2003, Grupo Bimbo announced the prepayment in the amount of US$ 62 million of a Syndicated Loan, with a final maturity on October 2004.

- On November 12, 2003, Grupo Bimbo announced that as per the decision of the Federal Supreme Court of Justice of Mexico, it was granted the right to deduct the losses incurred in the transfer of shares during 2001 from the income taxes paid during that year.

In addition, the Company acquired the right to deduct, for fiscal effects, an additional amount of incurred losses in the transfer of shares, which reached Ps. 4,861.

As a result, Grupo Bimbo will have the right to a tax deduction with a potential benefit of nearly Ps. 1,600, which will occur upon applying the aforementioned losses to the fiscal results of 2002 and subsequent periods, according to the proceedings and instruments designated by law.

- On November 25, 2003, Grupo Bimbo announced a prepayment of US$138 million on a Syndicated Loan, which has its initial payment for the fourth quarter of 2004.

This prepayment is in addition to those conducted in March and September bringing the total prepayments made in 2003 to US$ 263 million.

- On March 18, 2004, Grupo Bimbo announced that it had reached an agreement to acquire the confectionery companies Joyco de México, S.A. de C.V., Alimentos Duval, S.A. de C.V. and Lolimen, S.A. de C.V., from a group of Mexican investors and the Spanish Company, Corporación Agrolimen, S.A.

Grupo Bimbo will invest Ps. 290 in this transaction, of which nearly Ps. 30 will be utilized for the payment of debt. With this transaction, which will be paid solely with existing cash resources, the Company will acquire two production facilities and the rights to leading brands and products in the confectionery industry, such as *Duvalín*, *Bocadín* and *Lunetas*.

# Independent
# Auditors' Report

To the Board of Directors and Stockholders of Grupo Bimbo, S. A. de C. V.

We have audited the accompanying consolidated balance sheets of Grupo Bimbo, S.A. de C.V. and subsidiaries (the "Company") as of December 31, 2003 and 2002, and the related consolidated statements of income, changes in stockholders' equity and changes in financial position for the years then ended, all expressed in millions of Mexican pesos of purchasing power as of December 31, 2003. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits. We did not audit the financial statements of certain consolidated subsidiaries, which statements reflect total assets constituting 38% and 47%, respectively, of consolidated total assets as of December 31, 2003 and 2002, and net sales constituting 32% and 31%, respectively, of consolidated net sales for the years then ended. Those statements were audited by other auditors, whose reports have been furnished to us, and our opinion, insofar as it relates to the amounts included for those entities, is based solely on the reports of such other auditors.

We conducted our audits in accordance with auditing standards generally accepted in Mexico. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement and that they are prepared in accordance with accounting principles generally accepted in Mexico. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits and the reports of the other auditors provide a reasonable basis for our opinion.

As discussed in Note 3 to financial statements, as of January 1, 2003, the Company early adopted the provisions of Bulletin C-15, "Impairment in the value of long-lived assets and their disposal" ("C-15"). During fiscal 2003, the main effects derived from applying this principle were a write-off of the value of goodwill and trademarks, which were reduced by $2,078,557,899; a reduction of the deferred income tax liability of $244,584,000 and a charge to results of the year of $1,833,973,899, which is shown under the heading of "Cumulative effect of change in accounting", as the current value of estimated subsequent net cash flows at January 1, 2003, is less than their book value at that date.

In our opinion, based on our audits and the reports of the other auditors, such consolidated financial statements present fairly, in all material respects, the financial position of Grupo Bimbo, S.A. de C.V. and subsidiaries as of December 31, 2003 and 2002, and the results of their operations, changes in their stockholders' equity and changes in their financial position for the years then ended in conformity with accounting principles generally accepted in Mexico.

The accompanying consolidated financial statements have been translated into English for the convenience of readers in the United States of America.

Galaz, Yamazaki, Ruiz Urquiza, S. C.
A Member Firm of Deloitte Touche Tohmatsu



C. P. C. Walter Fraschetto
March 8, 2004

# Examiner's Report

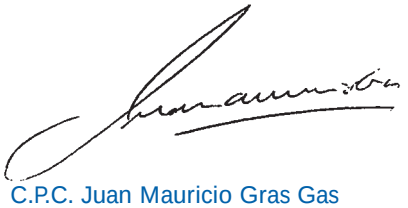
To the Stockholders of Grupo Bimbo, S. A. de C. V.:

In my role as Examiner and in compliance with Article 166 of the Mexican General Corporate Law and the corporate bylaws of Grupo Bimbo, S. A. de C. V., I submit my report regarding the truthfulness, sufficiency and fairness of the consolidated financial information presented to you by the Board of Directors relative to the Company's operations for the year ended December 31, 2003.

I have attended the Stockholders' and Board of Directors' Meetings to which I was summoned and have obtained from the Company's directors and management all of the information relative to the operations, documents and records that I deemed necessary to examine. My review was conducted in accordance with auditing standards generally accepted in Mexico.

In connection with my review I observed that as of January 1, 2003, the Company early adopted the provisions of Bulletin C-15, "Impairment in the value of long-lived assets and their disposal" ("C-15"). During fiscal 2003, the main effects derived from applying this principle were a write-off of the value of goodwill and trademarks, which were reduced by $2,078,557,899; a reduction of the deferred income tax liability of $244,584,000 and a charge to results of the year of $1,833,973,899, which is shown under the heading of "Cumulative effect of change in accounting" in the statement of income, as the current value of estimated subsequent net cash flows at January 1, 2003 is less than their book value at that date.

In my opinion, the accounting and reporting policies and criteria followed by the Company and considered by management to prepare the consolidated financial information presented at this meeting are adequate and sufficient and, except for the change described in the preceding paragraph, were applied on a basis consistent with that of the preceding year. Therefore, such consolidated financial information presented by, management truthfully, sufficiently and fairly presents the financial position of Grupo Bimbo, S. A. de C. V. at December 31, 2003, and the results of its operations, changes in its stockholders' equity and changes in its financial position for the year then ended in conformity with accounting principles generally accepted in Mexico.



C.P.C. Juan Mauricio Gras Gas
Examiner

March 8, 2004

# Consolidated balance sheets

As of December 31, 2003 and 2002

(In millions of Mexican pesos of purchasing power as of December 31, 2003)

| | 2003 | 2002 |
|---|---|---|
| **Assets** | | |
| Current assets: | | |
| Cash and temporary investments | $ 1,757 | $ 2,486 |
| Accounts and notes receivable - Net | 4,342 | 3,873 |
| Inventories – Net | 1,006 | 970 |
| Prepaid expenses | 95 | 148 |
| Total current assets | 7,200 | 7,477 |
| Property, plant and equipment - Net | 15,898 | 16,555 |
| Investment in shares and debentures | 537 | 832 |
| Goodwill – Net | 3,772 | 5,448 |
| Trademarks and usage rights – Net | 2,549 | 3,164 |
| Other assets – Net | 559 | 727 |
| Total | $ 30,515 | $ 34,203 |
| **Liabilities and stockholders' equity** | | |
| Current liabilities: | | |
| Short-term loans from financial institutions | $ 239 | $ 193 |
| Current portion of long-term debt | 449 | 187 |
| Trade accounts payable | 2,059 | 2,025 |
| Other accounts payable and accrued liabilities | 2,204 | 2,450 |
| Accounts payable to related parties | 170 | 172 |
| Employee statutory profit sharing payable | 285 | 278 |
| Total current liabilities | 5,406 | 5,305 |
| Long-term debt | 8,270 | 12,105 |
| Employee retirement benefits and workers' compensation | 744 | 694 |
| Deferred income taxes | 338 | 1,149 |
| Total liabilities | 14,758 | 19,253 |
| Stockholders' equity: | | |
| Capital stock | 6,824 | 6,824 |
| Reserve for repurchase of shares | 647 | 647 |
| Retained earnings | 14,059 | 13,348 |
| Deficit in restatement of stockholders' equity | (4,138) | (4,214) |
| Initial cumulative effect of deferred income taxes | (2,028) | (2,028) |
| Majority stockholders' equity | 15,364 | 14,577 |
| Minority interest in consolidated subsidiaries | 393 | 373 |
| Total stockholders' equity | 15,757 | 14,950 |
| Total | $ 30,515 | $ 34,203 |

See accompanying notes to consolidated financial statements.

# Consolidated statements of income

For the years ended December 31, 2003 and 2002

(In millions of Mexican pesos of purchasing power as of December 31, 2003, except for earnings per share expressed in pesos)

| | 2003 | 2002 |
|---|---|---|
| Net sales | $ 46,663 | $ 44,350 |
| Cost of sales | 21,773 | 20,763 |
| Gross profit | 24,890 | 23,587 |
| Operating expenses: | | |
| Distribution and selling expenses | 17,842 | 17,080 |
| Administrative expenses | 3,733 | 3,524 |
| Income from operations | 3,315 | 2,983 |
| Net comprehensive financing-cost: | | |
| Interest expense, Net | 888 | 625 |
| Exchange loss, Net | 246 | 303 |
| Monetary position gain | (338) | (314) |
| | 796 | 614 |
| Other expenses, Net | 207 | 543 |
| Income before income taxes, employee statutory profit sharing and equity in results of associated companies | 2,312 | 1,826 |
| Income taxes | 824 | 590 |
| Employee statutory profit sharing | 290 | 258 |
| Equity in results of associated companies | 29 | 55 |
| Income before extraordinary gain and cumulative effect of change in accounting | 1,227 | 1,033 |
| Extraordinary gain | 1,606 | - |
| Cumulative effect of change in accounting, Net | (1,834) | - |
| Consolidated net income for the year | $ 999 | $ 1,033 |
| Net income of majority stockholders | $ 964 | $ 1,003 |
| Net income of minority stockholders | $ 35 | $ 30 |
| Earnings per share: | | |
| Income before extraordinary gain and cumulative effect of change in accounting | $ 1.02 | $ 0.85 |
| Extraordinary gain | $ 1.36 | $ - |
| Cumulative effect of change in accounting, Net | $ (1.56) | $ - |
| Basic earnings per common share | $ 0.82 | $ 0.85 |
| Weighted average number of shares outstanding (000´s) | 1,175,000 | 1,175,821 |

See accompanying notes to consolidated financial statements.

# Consolidated statements of changes in stockholders' equity

For the years ended December 31, 2003 and 2002

(In millions of Mexican pesos of purchasing power as of December 31, 2003)

| | Capital stock | Reserve for repurchase of shares |
|---|---|---|
| Balances, January 1, 2002 | $ 6,824 | $ 1,693 |
| Transfer to reserve for repurchase of shares | - | (1,044) |
| Dividends declared | - | - |
| Dividends paid to minority stockholders of subsidiaries | - | - |
| Decrease in capital due to repurchase of shares | - | (2) |
| Increase in minority interest | - | - |
| Balances before comprehensive income | 6,824 | 647 |
| Consolidated net income for the year | - | - |
| Restatement effects for the year | - | - |
| Translation effects for the year | - | - |
| Comprehensive income | - | - |
| Balances, December 31, 2002 | 6,824 | 647 |
| Dividends declared | - | - |
| Decrease in minority interest | - | - |
| Balances before comprehensive income | 6,824 | 647 |
| Consolidated net income for the year | - | - |
| Restatement effects for the year | - | - |
| Translation effects for the year | - | - |
| Comprehensive income | - | - |
| Balances, December 31, 2003 | $ 6,824 | $ 647 |

See accompanying notes to consolidated financial statements.

| Retained earnings | Deficit in restated stockholders' equity | Initial cumulative effect of deferred income taxes | Majority stockholders' equity | Minority interest in consolidated subsidiaries | Total stockholder's equity |
|---|---|---|---|---|---|
| $ 11,575 | $ (4,277) | $ (2,028) | $ 13,787 | $ 301 | $ 14,088 |
| 1,044 | - | - | - | - | - |
| (274) | - | - | (274) | - | (274) |
| - | - | - | - | (51) | (51) |
| - | - | - | (2) | - | (2) |
| - | - | - | - | 96 | 96 |
| 12,345 | (4,277) | (2,028) | 13,511 | 346 | 13,857 |
| 1,003 | - | - | 1,003 | 30 | 1,033 |
| - | 320 | - | 320 | (3) | 317 |
| - | (257) | - | (257) | - | (257) |
| 1,003 | 63 | - | 1,066 | 27 | 1,093 |
| 13,348 | (4,214) | (2,028) | 14,577 | 373 | 14,950 |
| (253) | - | - | (253) | - | (253) |
| - | - | - | - | (12) | (12) |
| 13,095 | (4,214) | (2,028) | 14,324 | 361 | 14,685 |
| 964 | - | - | 964 | 35 | 999 |
| - | 135 | - | 135 | (3) | 132 |
| - | (59) | - | (59) | - | (59) |
| 964 | 76 | - | 1,040 | 32 | 1,072 |
| $ 14,059 | $ (4,138) | $ (2,028) | $ 15,364 | $ 393 | $ 15,757 |

# Consolidated statements of changes in financial position

For the years ended December 31, 2003 and 2002

(In millions of Mexican pesos of purchasing power as of December 31, 2003)

| | 2003 | 2002 |
|---|---|---|
| Operating activities: | | |
| Income before the extraordinary gain and cumulative effect of change in accounting | $ 1,227 | $ 1,033 |
| Items that did not require (generate) resources- | | |
| Depreciation and amortization | 1,489 | 1,443 |
| Amortization of goodwill and trademarks and useful rights | 284 | 446 |
| Equity in results of associated companies | (29) | (55) |
| Long-term income tax payable | - | (17) |
| Deferred income taxes | 33 | (462) |
| | 3,004 | 2,388 |
| Changes in current assets and liabilities: | | |
| (Increase) decrease in: | | |
| Accounts and notes receivable | 552 | (629) |
| Inventories | (141) | (185) |
| Prepaid expenses | 52 | (60) |
| Employee retirement benefits and workers' compensation | 291 | 396 |
| Increase (decrease) in: | | |
| Trade accounts payable | 34 | 197 |
| Other accounts payable and accrued liabilities | (244) | 1,326 |
| Accounts payable to related parties | (2) | 103 |
| | 542 | 1,148 |
| Net resources generated by operating activities | 3,546 | 3,536 |
| Financing activities: | | |
| Borrowings from financial institutions | 45 | (74) |
| Long-term debt | (3,573) | 6,927 |
| Dividends declared | (253) | (325) |
| Repurchase of shares | - | (2) |
| (Decrease) increase in minority interest | (12) | 96 |
| Net resources (used in) generated by financing activities | (3,793) | 6,622 |
| Investing activities: | | |
| Decrease in investment in associated companies and other | 268 | 22 |
| Acquisition of property, plant and equipment, net of retirements | (678) | (927) |
| Other assets | (72) | (123) |
| Goodwill | - | (828) |
| Acquisition of assets formerly owned by George Weston, Ltd | - | (6,686) |
| Net resources used in investing activities | (482) | (8,542) |
| Cash and temporary investments: | | |
| Net (decrease) increase | (729) | 1,616 |
| Beginning of year | 2,486 | 870 |
| End of year | $ 1,757 | $ 2,486 |

See accompanying notes to consolidated financial statements.

# Notes to consolidated financial statements

For the years ended December 31, 2003 and 2002

(In millions of Mexican pesos of purchasing power as of December 31, 2003)

## 1. The Company

Grupo Bimbo, S.A. de C.V. and subsidiaries ("Bimbo" or the "Company") are engaged in the manufacture, distribution and sale of bread, cookies, cakes, candies, chocolates, snacks, tortillas and processed foods.

The Company operates in the following geographical areas: Mexico, the United States of America ("USA"), and Central and South America ("OLA").

## 2. Basis of presentation

a. Consolidation of financial statements - The consolidated financial statements include those of Grupo Bimbo, S.A. de C.V. and its subsidiaries, whose more significant stockholdings are shown below:

| Subsidiary | Ownership percentage | Principal business |
|---|---|---|
| Bimbo, S. A. de C. V. | 97% | Bakery |
| Barcel, S. A. de C. V. | 97% | Candies and snacks |
| BBU, Inc. (U.S.A.) | 100% | Bakery |
| Bimbo Argentina, S. A. | 100% | Bakery |
| Ideal, S. A. (Chile) | 100% | Bakery |
| Plus Vita Alimentos, LTDA (Brazil) | 100% | Bakery |

All intercompany balances and transactions have been eliminated in these consolidated financial statements.

The investment in associated companies is accounted for using the equity method. Convertible debentures into capital stock are valued at acquisition cost until July 19, 2003.

During 2003 and 2002, net sales of Bimbo, S.A. de C.V. and Barcel, S.A. de C.V. in Mexico represented approximately 68% and 66%, respectively, of consolidated net sales

b. Acquisitions and divestments - On March 4, 2002, the Company acquired, through its subsidiary, Bimbo Bakeries USA, Inc., bakery assets of US 610 million from George Weston Ltd., in western USA. This acquisition includes five plants operating in Texas, Colorado, California and Oregon, the trademark of Oroweat bread and a direct distribution system of approximately 1,300 routes. Also, through this transaction, the Company has access to products and leading U.S. market brands like Entenmann's, Thomas and Boboli.

On June 5, 2003, the Company announced the divestment of its flexible packaging business as part of its basic business concentration strategy, under which it also sold its US 90 million shareholding in Novacel, S.A. de C.V. (Novacel). Notwithstanding, Novacel will continue to supply a significant part of the flexible packaging utilized by the Company.

Convertible debentures held in COCAPE, S.A. de C.V. were capitalized on July 19, 2003, which then became an associated company.

On July 22, 2003, the Company acquired 30% of the shares of Pierre, L.L.C. (incorporated in the USA), which holds the shares of Compañía de Alimentos Fargo, S.A. (the Company's main competitor in Argentina).

c. Translation of subsidiaries' financial statements - To consolidate the financial statements of foreign subsidiaries operating independently from the Company (located in the USA and other Latin American countries, which in 2003 and 2002 represented 34% of consolidated net sales and 43% and 47% of consolidated total assets, respectively), the same accounting policies of the Company are applied. Accordingly, such financial statements are restated for inflation of the country in which the subsidiaries operate and are expressed in local currency of purchasing power at yearend. Subsequently, all assets and liabilities are translated at the exchange rate prevailing at yearend. Capital stock is translated at the exchange

rate of the dates the contributions were made; retained earnings, at the yearend exchange rate of the year in which they were obtained. Revenues, costs and expenses are translated at the exchange rate of the closing of the year in which they were reported. The translation adjustment effects are recorded directly in stockholders' equity.

Grupo Bimbo, S.A. de C.V., through its subsidiary BBU, Inc., which is the holding company of the USA operation, has earmarked certain financing in US dollars to purchase this subsidiary as a hedge of its investment. For book purposes, these loans were considered as assigned to this subsidiary and, accordingly, do not generate any exchange gain or loss in Mexican pesos. In 2003 and 2002, these effects were $115 and $480, respectively, recorded as a credit to the results from translation. The monetary effect of such financing was determined using the US inflation index, in accordance with the guidelines of the Bulletin B-15, "Transactions in foreign currency and translation of financial statements of foreign operations".

The financial statements of foreign subsidiaries included in the 2002 consolidated financial statements, are restated in constant currency of the countries where they operate and translated into Mexican pesos, using the exchange rate of the latest year presented.

d. Comprehensive income - Comprehensive income presented in the accompanying statement of changes in stockholders' equity consists of consolidated net income for the year, plus other items that represent a gain or loss for the same period which, in conformity with accounting principles generally accepted in Mexico, are recorded directly in stockholders' equity, without affecting the results of operations. In 2003 and 2002, the items of other comprehensive income consist of the deficit in restatement of stockholders' equity and foreign entity translation adjustment effects and minority stockholders' equity.

e. Reclassifications - Certain amounts in the financial statements as of December 31, 2002 have been reclassified to conform to the presentation of the financial statements as of December 31, 2003.

## 3. Summary of significant accounting policies

The accounting policies followed by the Company are in conformity with accounting principles generally accepted in Mexico (Mexican GAAP), which require management to make certain estimates and use certain assumptions to determine the valuation of some of the items included in the financial statements and make the required disclosures therein. While the estimates and assumptions used may differ from their final effect, management believes that they were adequate under the circumstances. The significant accounting policies of the Company are as follows:

a. Changes in accounting policies - Company management early adopted the provisions of Bulletin C-15, "Impairment in the value of long-lived assets and their disposal", issued by the Accounting Principles Board of the Instituto Mexicano de Contadores Públicos, A. C., which establishes the general treatments used to identify, value and, if necessary, record losses derived from the impairment or reduced value of long term assets, tangible and intangible, including goodwill. The impairment of goodwill and trademarks recorded during the year was $2,079, which net of a reduction of deferred taxes of $245, results in a charge shown in the consolidated statement of income as the "Cumulative effect of change in accounting".

Bulletin C-8, "Intangible assets", came into effect as of January 1, 2003, establishing that preoperating costs not identified as development must be reported as an expense of the period. Amortization of the balance of preoperating costs capitalized in conformity with Bulletin C-8 at December 31, 2002, will be continued. The application of Bulletin C-8 did not have a material effect on the Company's financial statements.

Bulletin C-9, "Liabilities, provisions, contingent assets and liabilities, and commitments", also came into effect, establishing, among other issues, the increased accuracy of items related to provisions, accrued obligations and contingent liabilities. It also contains new guidelines for recognizing provisions in accounting, the use of current values for provisions and the redemption of obligations, when this occurs ahead of time or the latter are replaced by a new issue. The application of Bulletin C-9 did not have a material effect on the Company's financial statements.

b. Recognition of the effects of inflation - The Company restates the financial statements of the Mexican entities and foreign subsidiaries in terms of the purchasing power of the Mexican peso at the date of the latest balance sheet, thereby recognizing the effects of inflation. Consequently, the financial statements presented for the prior year have also been restated based on the same purchasing power, while their figures differ from those originally presented, which are shown in pesos of purchasing power at the close of that year. Consequently the figures shown in the accompanying financial statements are therefore comparable as they are expressed in constant pesos.

Annual inflation rates in the countries where the Company operates are as follows:

| | % | |
|---|---|---|
| | **2003** | 2002 |
| Argentina | 3.65 | 40.95 |
| Brazil | 9.30 | 12.53 |
| Colombia | 6.49 | 6.94 |
| Costa Rica | 9.86 | 9.68 |
| Chile | 1.07 | 2.82 |
| USA | 1.87 | 2.37 |
| El Salvador | 2.51 | 2.79 |
| Guatemala | 5.90 | 6.01 |
| Honduras | 6.79 | 8.09 |
| Peru | 2.48 | 1.52 |
| Mexico | 3.97 | 5.70 |
| Uruguay | 10.18 | 25.94 |
| Nicaragua | 6.53 | 3.87 |
| Venezuela | 27.04 | 31.24 |

c. Temporary investments - Temporary investments are stated at acquisition cost plus accrued yields.

d. Inventories and cost of sales - Inventories are stated at average costs, which are similar to their replacement value at yearend, without exceeding net realizable value. The cost of sales is stated at actual cost, which is similar to replacement cost at the time goods are sold.

e. Property, plant and equipment - Property, plant and equipment are recorded at acquisition or construction cost and restated using the National Consumer Price Index (NCPI) factors. Depreciation is calculated based on the remaining useful lives of the related assets. The average useful lives used by the Company at December 31, 2003 and 2002 were as follows:

| | Average years |
|---|---|
| Buildings | 22 |
| Manufacturing equipment | 9 |
| Vehicles | 7 |
| Office equipment | 6 |
| Computers | 3 |

f. Derivative financial instruments - The derivative financial instruments currently used by the Company are basically hedging contracts for raw materials and for reducing exposure to exchange and interest rate fluctuations. The Company does not carry out speculative derivative financial instrument transactions.

Derivative financial instruments are valued using the same valuation treatment used for the related hedged assets and liabilities, and valuation effects are recognized in results, net of costs, expenses and revenues generated by the assets or liabilities whose risks are being covered, of the period as incurred. The financial assets or liabilities generated by these instruments are presented in the balance sheet with the related hedged liabilities or assets.

At December 31, 2003, the Company has futures that are used to reduce the risk related to adverse fluctuations in the international price of wheat. The corresponding effects are recognized as part of the covered purchase.

g. Goodwill - Goodwill represents the excess of cost over book value of subsidiaries at the acquisition date. It is restated using the NCPI and amortized by the straight-line method over a term not to exceed 20 years. Amortization in 2003 and 2002 was $284 and $446, respectively.

At December 31, 2003, the recorded goodwill was generated by acquisitions of foreign subsidiaries, of which the most significant are: Mrs. Baird's Bakeries, Inc., Productos de Leche Coronado, S.A. de C.V., Plus Vita, Ltd., and assets acquired in 2002 formerly owned by George Weston, Ltd.

h. Trademarks and usage rights - Derived from the acquisition of the Company denominated George Weston, Ltd. in the Western United States in March 2002, the Company acquired the trademark of Oroweat bread, as well as a direct distribution system consisting of approximately 1,300 routes. Similarly, it acquired the usage rights of the Entenmann's, Thomas and Boboli trademarks. Such rights are restated by applying the U.S. inflationary index. Until December 31, 2002, these rights were amortized by using the straight line method for a period not exceeding 20 years. As of January 1, 2003 and in conformity with the new Bulletin C-8, trademarks are no longer amortized.

i. Employee retirement benefits - The liability from seniority premiums and pensions is recorded as accrued and is calculated by independent actuaries using the projected unit credit method at actual interest rates. Therefore, the liability is being recognized at present value, on the assumption that the liability for these benefits will be paid on the estimated general retirement date of the Company's employees. Severance is charged to results when the liability is determined to be payable.

j. Impairment of long-lived assets in use - An impairment indicator could imply that the carrying amounts of the Company's long-lived assets in use may not be recoverable. As such, the Company reviews the carrying amounts of long-lived assets in use, considering the greater of the net present value of the future net cash flows or the net sales price upon disposal. Impairment is recorded when the carrying amounts exceed the greater of the amounts mentioned above. The impairment indicators considered for these purposes are, among others, the operating losses or negative cash flows in the period, if they are combined with a history of or projection of losses, depreciation and amortization charged to results, which in percentage terms in relation to revenues are substantially higher than that of previous years, obsolescence, reduction in the demand for the products manufactured, competition and other legal and economic factors.

k. Income tax, tax on assets and employee statutory profit sharing - The provisions for income tax (ISR) and employee statutory profit sharing (PTU) are recorded in results of the year in which incurred. Deferred ISR tax assets and liabilities are recognized for temporary differences resulting from comparing the book and tax values of assets and liabilities plus any future benefits from tax loss carryforwards. A deferred ISR asset is recorded only when it is highly probable that it will be realized. Deferred PTU is derived from temporary differences between book and taxable income and is recognized only when it can be reasonably assumed that they will generate a liability or benefit, and there is no indication that this situation will change, in such a way that the liabilities will not be paid or benefits will not be realized.

The tax on assets paid that is expected to be recoverable is recorded as an advance payment of ISR and is presented in the balance sheet decreasing the deferred ISR liability.

l. Deficit in restatement of stockholders' equity - This item represents the accumulated monetary position result through the initial restatement of the financial statements and the gain (loss) from holding nonmonetary assets, which represents the change in the specific price level above (below) inflation.

m. Revenue recognition - Revenues are recognized in the period in which the risks and rewards of the products are transferred to the customers who purchased them, which is generally when these products are shipped to the customer and the latter assumes responsibility for them.

Beginning January 1, 2002, the Company deducts marketing expenses from sales in accordance with the treatment adopted by the "Emerging Issues Task Force" (EITF) Issue 01-09 of accounting principles generally accepted in the United States (US GAAP, from the initials in English), which are applied in a suppletory manner with Mexican GAAP.

n. Monetary position result - Monetary position result, which represents the erosion of the purchasing power of monetary items caused by inflation, is calculated by applying NCPI factors to monthly net monetary position. The gain results from maintaining a net monetary liability position.

o. Earnings per share - Basic earnings per share is calculated by dividing consolidated net majority income by the weighted average number of shares outstanding during the year.

## 4. Accounts and notes receivable

| | 2003 | 2002 |
|---|---|---|
| Customers and agencies | $ 2,201 | $ 2,334 |
| Allowance for doubtful accounts | (162) | (96) |
| | 2,039 | 2,238 |
| Notes receivable | 112 | 118 |
| Recoverable income tax due to the loss on the share sale | 1,022 | - |
| Value-added tax and other recoverable taxes | 743 | 879 |
| Sundry debtors | 410 | 638 |
| Officers and employees | 16 | - |
| | $ 4,342 | $ 3,873 |

## 5. Inventories

| | 2003 | 2002 |
|---|---|---|
| Raw materials, containers and wrapping | $ 504 | $ 418 |
| Orders-in-process | 12 | 7 |
| Finished products | 308 | 355 |
| Advances to suppliers | 139 | 104 |
| Other | 1 | 51 |
| Inventory reserve | (3) | (2) |
| | 961 | 933 |
| Raw materials-in-transit | 45 | 37 |
| | $ 1,006 | $ 970 |

## 6. Property, plant and equipment

| | 2003 | 2002 |
|---|---|---|
| Buildings | $ 5,770 | $ 6,236 |
| Manufacturing equipment | 13,756 | 13,489 |
| Vehicles | 5,367 | 5,161 |
| Office equipment | 134 | 131 |
| Computers | 909 | 863 |
| | 25,936 | 25,880 |
| Less- Accumulated depreciation | (12,086) | (11,437) |
| | 13,850 | 14,443 |
| Land | 1,583 | 1,368 |
| Construction-in-progress and machinery-in-transit | 465 | 744 |
| | $ 15,898 | $ 16,555 |

## 7. Investment in shares and debentures

At December 31, 2003 and 2002, the investment in associated companies and convertible debentures is as follows:

| Associated companies | % | 2003 | 2002 |
|---|---|---|---|
| Novacel, S. A. de C. V. | 42 | $ - | $ 310 |
| Artes Gráficas Unidas, S. A. de C. V. | 15 | 60 | 49 |
| Beta San Miguel, S. A. de C. V. | 8 | 183 | 183 |
| La Moderna, S. A. de C. V. | 3 | 72 | 78 |
| Bismark Acquisition, L.L.C. | 30 | 36 | - |
| Pierre, L.L.C. | 30 | 14 | - |
| COCAPE, S. A. de C. V. | 11 | 57 | - |
| Other | Various | 115 | 116 |
| Total of associated companies | | 537 | 736 |
| Convertible debentures of COCAPE, S. A. de C. V. | | - | 96 |
| | | $ 537 | $ 832 |

## 8. Long-term debt

| | 2003 | 2002 |
|---|---|---|
| Syndicated loan - On October 11, 2001, the Company contracted a Syndicated Loan for US 400 million in which Chase Manhattan Bank acts as Administrating Agent, together with a syndicate comprising 16 other banks. Such Syndicated Loan has two parts. The first for US 125 million maturing in October 2004, of which US 63 million were paid ahead of time on March 20, 2003. The remaining balance was settled on September 22, 2003, on which the Company has to pay interest at the LIBOR rate plus 0.85% for the entire term. The second part consists of US 275 million, of which US 138 million were settled on November 24, 2003. The remaining balance must be amortized through five half-yearly payments as of October 2004. The interest rate is LIBOR plus 0.95% for the first three years, LIBOR plus 1% for the fourth year, and finally LIBOR plus 1.05% for the fifth year. At December 31, 2003, the balance of this credit is US 137 million at an annual interest rate of 2.12% | $ 1,539 | $ 4,422 |
| Share certificates - The Company issued share certificates on four occasions (payable upon maturity) to refinance short term liabilities contracted to acquire certain assets in the Western United States. Such issues were structured as follows: | | |
| - Bimbo 02- For $2,750 issued on May 17, 2002, maturing in May 2007, with interest at a variable interest rate equal to the 182-day CETES rate plus 0.92%, which was 6.28% per year as of December 31, 2003; | | |
| - Bimbo 02-2- For $750 issued on May 17, 2002, maturing in May 2012, with interest at a fixed interest rate of 10.15%; | | |
| - Bimbo 02-3- For $1,150 issued on August 2, 2002, maturing in August 2009, with interest at a fixed interest rate of 11%; | | |
| - Bimbo 02-4- For $1,850 issued on August 2, 2002, maturing in August 2008, with interest at a variable interest rate equals to the 182-day CETES plus 0.97%, which was 6.81% per year as of December 31, 2003 | 6,500 | 6,968 |

| | 2003 | 2002 |
|---|---|---|
| Direct loans - On February 2, 1996, the Company contracted financing of US 140 million, comprised of 3 promissory notes with IFC. Notes "A" and "B" bear a fixed interest rate of 8.74% and "C" bears a variable interest rate at the 6-month LIBOR, paid semiannually. The term of notes "A" and "B" is 12 years, and principal is paid in 11 annual payments beginning February 1998. Note "C" is for 10 years and will be paid in a lump-sum payment at the end of the contract. This last promissory note was paid early on April 12, 2002. Therefore, the balance of this loan at December 31, 2003 is US 59 million | 663 | 783 |
| Other - Certain subsidiaries have contracted other direct loans, which will be paid through 2005 to 2009, at various interest rates | 17 | 119 |
| | 8,719 | 12,292 |
| Less – Current portion of long-term debt | (449) | (187) |
| Long-term debt | $ 8,270 | $ 12,105 |

At December 31, 2003, long-term debt matures as follows:

| | |
|---|---|
| 2005 | $ 754 |
| 2006 | 751 |
| 2007 | 2,883 |
| 2008 | 1,983 |
| 2009 and thereafter | 1,899 |
| | $ 8,270 |

The loan contracts establish certain covenants and also require that the Company, based on the consolidated financial statements, maintain determined financial ratios. At December 31, 2003, the Company had complied with all the obligations established in the loan contracts.

Foreign exchange "Swaps" - The Company contracted three foreign exchange swaps to convert its liabilities in Mexican pesos to US dollars. The first Swap began on October 6, 2003, and matures on November 10, 2005. Upon its maturity, the Company must sell the notional amount of US 20 million at the price of $11.1150 pesos for one US dollar. An interest exchange will take place during the term of this transaction, under which the Company will pay a variable rate in dollars at the six-month LIBOR rate plus 365 basis points, thus receiving a fixed rate of 10.15%.

The second Swap began on September 1, 2003, maturing on August 1, 2007. Upon its maturity, the Company must sell the notional amount of US 75 million at the price of $11.00 pesos for one US dollar. An interest exchange will take place during the term of this transaction, under which the Company will pay a variable rate in dollars at the six-month LIBOR rate plus 340 basis points, thus receiving a fixed rate of 11.00%.

The third Swap, divided into three transactions, began at the beginning of September 2003 and matures on August 3, 2009. Upon its maturity, the Company must sell the notional amount of US 75 million at a weighted price of $11.00 pesos for one US dollar. An interest exchange will take place during the term of this transaction, under which the Company will pay a variable rate in dollars at the six-month LIBOR rate plus 302 basis points, thus receiving a fixed rate of 11.00%.

Additionally, the Company contracted two foreign exchange swaps for a total of US 75 million, to reduce the potential risk arising from liabilities denominated in US dollars. Such Swaps were contracted on November 26 and December 2, 2002, with maturity on February 17, 2004. Upon their maturity, the Company will acquire the notional amount of US 75 million at a weighted price of $10.1130 pesos for one US dollar, agreed at the start of the transaction. An interest exchange will take place during the term of this transaction, under which the Company will pay a variable weighted rate in pesos of the 28-day TIIE rate

plus 86.7 basis points, thus receiving a variable weighted rate of the three-month LIBOR rate plus 95 basis points. On January 29, 2003, these two foreign exchange swaps were terminated ahead of time. During the term of these instruments, an asset of US 75 million and a liability of $758 (equal to the US 75 million at a weighted exchange rate of $10.1130 pesos for one US dollar), were recorded. This advance termination generated a gain of $63.

Interest rate swaps - In relation to the fourth issue of traded certificates for $1,850, the Company contracted four interest rate swaps equal to $1,000 that fix the rate at the 182-day CETES plus 0.97%, from August 2002 through August 2005. The Company must pay a weighted fixed rate of 10.9350% on the four instruments.

In relation to the first issue of traded certificates for $2,750 acquired in May 2002, the Company contracted an interest rate swap to fix the cost of issuance at a variable rate, mitigating the risks implicit in the nominal rates. This transaction fixes the variable rate of this instrument at 10.38%.

Also, to mitigate the volatility of the interest rates in US dollars, on January 14 and 16, 2002, the Company contracted three interest rate swaps for a total of US 200 million, fixing the financing cost of the Syndicated Loan contracted on October 11, 2001. These three swaps fix the three-month LIBOR in US dollars. The effective date of the instruments is February 16, 2002 and they expire on August 16, 2005. The final weighted fixed rates in US dollars that the Company must pay are as follows:

| | |
|---|---|
| From February 2002 to February 2003 | 2.65% |
| From February 2003 to February 2004 | 4.48% |
| From February 2004 to February 2005 | 5.23% |
| From February 2005 to August de 2005 | 5.37% |

Foreign exchange "Forwards" - The Company purchases and sells U.S. dollars to satisfy its operational requirements and to correctly manage the exchange position of its assets and liabilities. At December 31, 2003, the Company has an open forward purchase of US 90 million, with maturity in January 2004.

## 9. Employee retirement benefits and workers' compensation

a. Mexico - The Company has pension and death or total disability plans for its management-level employees and a seniority premium plan for all of its employees, in accordance with employment contracts. The related liability and annual benefits cost are calculated by an independent actuary in conformity with the bases defined in the plans, using the projected unit credit method.

The present value of these obligations and the rates used in the calculation are as follows:

| | 2003 | 2002 |
|---|---|---|
| Obligation for present services | $ (2,309) | $ (2,218) |
| Projected benefit obligation | $ (2,822) | $ (2,727) |
| Plan assets (fund in trust) | 3,057 | 3,075 |
| Funded status | 235 | 348 |
| Items to be amortized: | | |
| Past service costs and changes to the plan | (20) | 22 |
| Variances in assumptions and adjustments for experience | 599 | 671 |
| Transition liability | (494) | (481) |
| Net projected asset (include in other assets) | $ 320 | $ 560 |

Net cost of the period is as follows:

| | 2003 | 2002 |
|---|---|---|
| Cost of services for the year | $ 170 | $ 162 |
| Amortization of transition liability | (27) | (28) |
| Amortization of variances in assumptions | 17 | 8 |
| Cost of financing for the year | 117 | 109 |
| Less – Yield on fund assets | (148) | (141) |
| Net cost of the period | $ 129 | $ 110 |

The actual interest rates used in the actuarial calculations were:

| | 2003 | 2002 |
|---|---|---|
| Discount of projected benefit obligation at present value | 5.0% | 5.0% |
| Wage increase | 1.5% | 1.5% |
| Yield on fund assets | 4.5% | 4.5% |

b. USA - The Company has three defined benefit pension plans ("the Pension Plans") that cover eligible employees. The Company's funding policy is to make discretionary annual contributions. During 2003, the Company made contributions of $90 to the Pension Plans.

The following table sets forth the funded status and amounts recognized for the Pension Plans in the consolidated balance sheet as of December 31, 2003 and 2002:

| | 2003 | 2002 |
|---|---|---|
| Actuarial present value of accumulated benefit obligation | $ 1,310 | $ 1,086 |
| Actuarial present value of accumulated benefit obligation for services rendered to date | $ 1,360 | $ 1,289 |
| Plan assets | (775) | (685) |
| Plan assets (deficit) in excess of projected benefit obligation | 585 | 604 |
| Unrecognized net loss | (361) | (370) |
| Additional minimum liability | 141 | 195 |
| Net projected liability | 365 | 429 |
| Workers' compensation | 379 | 265 |
| Employee retirement benefits and workers' compensation | $ 744 | $ 694 |

Net pension cost includes the following components:

| | 2003 | 2002 |
|---|---|---|
| Cost of services for the year | $ 71 | $ 73 |
| Cost of financing for the year | 79 | 88 |
| Expected return on plan assets | (80) | (87) |
| Loss from curtailment and settlement | - | 56 |
| Net amortization and deferral | - | 1 |
| Net loss recognition | - | 1 |
| Net pension cost | $ 70 | $ 132 |

Following is a summary of significant actuarial assumptions used:

| | 2003 | 2002 |
|---|---|---|
| Weighted average discount rates | 6.25% | 6.75% |
| Rates of increase in compensation levels | 3.75% | 3.75% |
| Expected long-term rate of return on assets | 8.25% | 8.25% |

c. Other countries - At December 31, 2003, the liability from employee retirement benefits in other countries is not significant.

## 10. Stockholders' equity

a. At December 31, 2003, stockholders' equity consists of the following:

| | Number of shares | Par value | Restatement effect | Total |
|---|---|---|---|---|
| Fixed Capital | | | | |
| Series A | 1,175,800,000 | $ 1,902 | $ 4,922 | $ 6,824 |
| Total shares | 1,175,800,000 | 1,902 | 4,922 | 6,824 |
| Reserve for repurchase of shares | | 600 | 47 | 647 |
| Retained earnings | | 3,051 | 11,008 | 14,059 |
| Deficit in restatement of stockholders' equity | | - | (4,138) | (4,138) |
| Initial cumulative deferred income tax effect | | (1,747) | (281) | (2,028) |
| Minority interest | | 379 | 14 | 393 |
| Total | | $ 4,185 | $ 11,572 | $ 15,757 |

Capital stock is fully subscribed and paid, and represents fixed capital. Variable capital cannot exceed 10 times the amount of minimum fixed capital without right of withdrawal and must be represented by Series B ordinary, nominative, no-par shares and/or limited voting, nominative, no-par shares of the Series to be named when they are issued. Limited voting shares cannot represent more than 25% of non-voting capital stock.

b. The Company's repurchased 89,069 of its own shares on March 26, 2002, thus reducing the stock repurchase reserve by $2, which were held in treasury.

c. At a Stockholders' Ordinary General Meeting held on April 12, 2002 the cancellation of the 245,800,000 repurchased shares held in treasury was approved. Also, at the same meeting the maximum amount of the stock repurchase reserve was established at $647 ($600 at par value), by transferring $1,044 back to retained earnings.

d. Dividends paid in 2003 and 2002 were:

| Approved at the stockholders' meeting on: | Mexican pesos per share | Per value total | Value at December 31, **2003** |
|---|---|---|---|
| April 30, 2003 | $ 0.21 | $ 247 | $ 253 |
| April 12, 2002 | $ 0.21 | $ 247 | $ 274 |

e. The balances in the stockholders' equity tax accounts at December 31, are:

| | **2003** | 2002 |
|---|---|---|
| Paid-in capital | $ 4,828 | $ 4,828 |
| Net after-tax income | 11,408 | 12,342 |
| Total | $ 16,236 | $ 17,170 |

The above table illustrates the total amount of the balances of stockholders' equity tax accounts according to the accompanying balance sheet.

## 11. Foreign currency balances and transactions

a. At December 31, 2003 and 2002, the foreign currency monetary position in millions of US dollars (excluding USA) is as follows:

| | 2003 | 2002 |
|---|---|---|
| Monetary assets | - | 122 |
| Monetary liabilities | (232) | (493) |
| Liability position, net | (232) | (371) |
| Mexican peso equivalent | $ (2,607) | $ (3,826) |

b. The Company has significant operations in USA as indicated in Note 17.

c. Transactions in millions of US dollars were as follows:

| | 2003 | 2002 |
|---|---|---|
| Export sales | 92 | 65 |
| Imported purchases | 27 | 31 |

d. The exchange rates in effect at the dates of the balance sheets and of issuance of these financial statements, respectively, were as follows:

| | December 31 | | March 8, |
|---|---|---|---|
| | 2003 | 2002 | 2004 |
| One US dollar | $ 11.2360 | $ 10.3125 | $ 10.9393 |

## 12. Transactions and balances with related parties

a. Transactions with related parties, carried out in the ordinary course of business, were as follows:

| | 2003 | 2002 |
|---|---|---|
| Expenses- | | |
| Purchases of raw materials and finished products | $ 3,114 | $ 1,698 |

b. The net balances payable to related parties are:

| | 2003 | 2002 |
|---|---|---|
| Frexport, S. A. de C. V. | $ 24 | $ 11 |
| Grupo Altex, S. A. de C. V. | 146 | 161 |
| | $ 170 | $ 172 |

## 13. Other expenses, Net

| | 2003 | 2002 |
|---|---|---|
| Tax restatement | $ (28) | $ (17) |
| Loss (gain) on sale of fixed assets | 71 | (79) |
| Sundry revenues | (121) | (253) |
| Expenses from sale of US routes | - | 446 |
| Amortization of goodwill | 284 | 446 |
| Income from the sale of shares | (29) | - |
| Others | 30 | - |
| | $ 207 | $ 543 |

## 14. Tax environment

Income taxes, tax on assets and employee statutory profit sharing in Mexico - Companies established in Mexico are subject to income tax (ISR) and asset tax (IMPAC). ISR is computed taking into consideration the taxable and deductible effects of inflation, such as depreciation calculated on restated asset values, as well as deduction of purchases in place of cost of sales, which permit the deduction of current costs, and taxable income is increased or reduced by the effects of inflation on certain monetary assets and liabilities through the annual inflationary adjustment, which is similar to monetary position gain or loss.

The ISR rates were 35% in 2002 and 34% in 2003, which will be reduced by one percentage point each year until reaching 32% in 2005. As of 2002, the deductibility of employee statutory profit sharing and the obligation to withhold income tax on dividends paid to private individuals or foreign residents were eliminated.

IMPAC is computed at an annual rate of 1.8% on the average of the majority of restated assets less certain liabilities, and the tax is paid only to the extent that it exceeds ISR of the year. There was no IMPAC payable in 2003 and 2002 on a consolidated basis. If in any year IMPAC exceeds ISR, the IMPAC payment for such excess may be reduced by the amount by which ISR exceeded IMPAC in the three prior years. Additionally, any required payment of IMPAC may be credited against the excess of ISR over IMPAC in the next 10 years.

Grupo Bimbo, S.A. de C.V. determined consolidated ISR and IMPAC with its subsidiaries (except foreign subsidiaries) in the proportion held of the voting stock of its subsidiaries at year-end. As of January 1, 2002, the proportion is calculated based on the average daily equity percentage of its subsidiaries held by the holding company during the year. The tax results of the subsidiaries and that of the holding company are consolidated at 60% of such proportion. Estimated payments of ISR and IMPAC of both the Company and its subsidiaries are made as if the holding company did not file a consolidated tax return.

Income taxes in other countries - The foreign subsidiaries calculate income taxes on their individual results, in accordance with the regulations of each country. The subsidiaries in the US have authorization to file a consolidated income tax return.

a. Income tax consists of the following:

| | 2003 | 2002 |
|---|---|---|
| Current | $ 753 | $ 1,006 |
| Deferred | 71 | (416) |
| | $ 824 | $ 590 |

b. At December 31, 2003 and 2002, the main items comprising the deferred income tax liability are as follows:

| | 2003 | 2002 |
|---|---|---|
| Allowance for doubtful accounts | $ (18) | $ (27) |
| Inventories | 134 | 172 |
| Property, plant and equipment and intangibles | 1,644 | 1,895 |
| Other investments | (58) | (69) |
| Other reserves | (273) | (126) |
| Tax loss carryforwards | (961) | (640) |
| Recoverable tax on assets | (130) | (56) |
| Total liability | $ 338 | $ 1,149 |

## 15. Extraordinary gain

During the fourth quarter of 2003, an extraordinary gain of $1,606 derived from the favorable verdict in a lawsuit filed by the Company during this period was recorded. The aforementioned lawsuit involved the treatment of losses suffered from the sale of shares, per article 25-XVIII of the ISR Law in effect until December 31, 2001.

## 16. Commitments

Guaranties and/or guarantors - At December 31, 2003, in conjunction with certain subsidiaries, Grupo Bimbo, S.A. de C.V. issued letters of credit to guarantee commercial obligations and contingent risks related to the labor obligations of certain subsidiaries. Together with those issued to guarantee third-party obligations derived from long-term supply contracts executed, the value of such letters of credit is US 101.6 million.

The Company has guaranteed certain contingent obligations of associated companies for the amount of US 29.9 million. Similarly, the Company has issued guaranties for third party obligations derived from the sale of assets in prior years, for the amount of US 14 million.

Liens - At December 31, 2003, the Company has collateral in cash of $29.6 to guarantee certain liabilities of an associated company.

## 17. Information by geographical area

The following are the principal data by geographical area in which the Company operates for the years ended December 31, 2003 and 2002:

**2003**

| | Mexico | USA | OLA | Consolidation eliminations | Total |
|---|---|---|---|---|---|
| Net sales | $ 31,548 | $ 12,843 | $ 3,076 | $ (804) | $ 46,663 |
| Operating income (loss) | $ 3,864 | $ (426) | $ (141) | $ 18 | $ 3,315 |
| Consolidated net income | $ 3,621 | $ (3,052) | $ (216) | $ 646 | $ 999 |
| Depreciation and amortization | $ 1,022 | $ 306 | $ 161 | $ - | $ 1,489 |
| Operating income (loss), plus depreciation and amortization (EBITDA) | $ 4,886 | $ (120) | $ 20 | $ 18 | $ 4,804 |
| Total assets | $ 17,521 | $ 10,363 | $ 2,631 | $ - | $ 30,515 |
| Total liabilities | $ 9,546 | $ 4,470 | $ 742 | $ - | $ 14,758 |

2002

| | Mexico | USA | OLA | Consolidation eliminations | Total |
|---|---|---|---|---|---|
| Net sales | $ 29,716 | $ 12,001 | $ 3,207 | $ (574) | $ 44,350 |
| Operating income (loss) | $ 3,323 | $ 34 | $ (333) | $ (41) | $ 2,983 |
| Consolidated net income | $ 2,062 | $ (795) | $ (658) | $ 424 | $ 1,033 |
| Depreciation and amortization | $ 1,049 | $ 253 | $ 141 | $ - | $ 1,443 |
| Operating income (loss), plus depreciation and amortization (EBITDA) | $ 4,372 | $ 287 | $ (192) | $ (41) | $ 4,426 |
| Total assets | $ 17,900 | $ 13,495 | $ 2,808 | $ - | $ 34,203 |
| Total liabilities | $ 13,337 | $ 5,125 | $ 791 | $ - | $ 19,253 |

## 18. New accounting principles

In May 2003, the IMCP issued Bulletin C-12, "Financial Instruments of a Debt or Equity Nature or a Combination of Both" ("C-12"), whose application is mandatory for financial statements of periods beginning on or after January 1, 2004, although early adoption is encouraged. C-12 is the compilation of the standards issued by the IMCP with respect to the issue of debt or equity financial instruments, or a combination of both, and includes additional standards on the accounting recognition for these instruments. Consequently, C-12 indicates the basic differences between liabilities and stockholders' equity and establishes the rules for classifying and valuing the components of debt and equity of combined financial instruments in the initial recognition. Subsequent recognition and valuation of liabilities and stockholders' equity of the financial instruments is subject to the standards issued previously in the applicable bulletins. Company management estimates that this new accounting principle will not have a material effect on its financial position and results of operations.

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Produce and market food products, develop the value of our brands.
Committing ourselves to be a Company:

- Highly productive and people oriented.
- Innovative, competitive and strongly focused towards satisfying our customers and consumers.
- International leader in the bakery industry, with long-term vision.

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